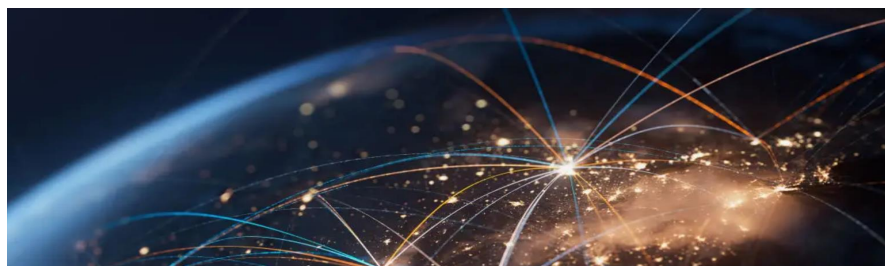


# China Internet Sector

## APAC Focus: How China's AI models compete on cost efficiency



In the global AI race, model intelligence is key to assessing competitiveness and commercialisation. However, as AI adoption shifts to scaled deployment, we expect cost efficiency to become increasingly important. Through targeted R&D, architectural innovations, engineering optimisation and open-source collaboration, we believe China's companies are rapidly closing the performance gap with global leaders at markedly lower costs, making them well positioned to gain share in the sizeable, expanding global AI TAM. We highlight **MiniMax**, **Zhipu**, **Alibaba**, **Tencent** and **Baidu** under our coverage as major companies in this theme, together with private companies DeepSeek, Kimi, ByteDance and StepFun.

### Assessing the cost leadership of China's AI models

We estimate the training costs for China's models (using MiniMax and Zhipu as examples) are less than 10% of those of global leaders such as OpenAI and Anthropic, while the average API price of major China models is below 20% of comparable global peers. However, China's frontier models are closing the capability gap with rapid iteration and improving intelligence, gaining global traction in token usage while preserving healthy gross margins.

### Structural and sustainable efficiency gains in model training and inference

Supported by our technical analysis, we believe this reflects Chinese models' structural advantages in model training and inferences. **In training**, China's model providers use multiple approaches to reduce workload (via smaller parameters and sparse attention) and improve GPU throughput, helped by targeted R&D and open-source ecosystems. **In inference**, key innovations span model architecture (e.g., MoE, attention mechanism, KV cache and lower precision), engineering optimisation (e.g., P/D separation, batching and scheduling) and infrastructure (incl. domestic chip adaptation).

### Reshaping global AI competition through superior cost-performance

We expect the global AI market to burgeon, with long-term TAM potentially surpassing US\$10trn, and see considerable scope for China's models to gain global market share. As AI adoption moves from experimentation to scaled deployment, companies are shifting from maximising AI token usage (i.e., "token maxxing") towards more ROI-driven resource allocation. In our view, this shift should improve market recognition of Chinese models' cost-performance advantages. We expect the global model market to become increasingly tiered. While frontier models may retain pricing premiums for complex, high-value tasks, cost-performance models could see broader adoption in high-volume, ROI-sensitive workloads, creating long-term global share-gain opportunities for China's models, as seen in other industries where Chinese firms have successfully expanded globally, such as EVs, smartphones and home appliances.

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## UBS Research THESIS MAP

## MOST FAVORED

## LEAST FAVORED

MiniMax, Alibaba, Tencent, Baidu

N/A

## PIVOTAL QUESTIONS

**Q: Can China's AI models continue to close the performance gap at lower R&D costs?**

Likely. We observe a narrowing gap in model intelligence between China's providers and global leaders, yet R&D spending at China's AI labs remains considerably lower than those of US peers. While distillation improves efficiency in model development, we believe China's model providers adopt multiple approaches to reduce workloads (such as smaller parameters and sparse attention) and improve GPU throughput, supported by targeted R&D and open-source ecosystems.

**Q: Can China's models keep prices competitive for API services while maintaining reasonable gross margins?**

Likely. We believe Chinese AI models' competitive API prices are not driven by high subsidies or a loss-leading strategy, but by structural advantages in inference efficiency. We note key technological innovations across: 1) model architecture such as mixture of experts (MoE), attention mechanisms, KV cache and lower precision; 2) engineering optimisation, including P/D separation, batching and scheduling; and 3) infrastructure, such as domestic chip adaptation. Despite prices at under 20% of those of comparable US peers, API gross margins for China's AI models are around 20-40%, with upside potential if prices improve with model performance or additional gains in inference efficiency.

**Q: How will China's AI models reshape the global model competitive landscape?**

We view competition as a secondary concern in light of the rapidly expanding global AI TAM, which we estimate could surpass US\$10trn. As model supply is concentrated in the US and China, we believe China's model providers should have meaningful opportunities for global expansion. As AI adoption scales, we also expect demand to become increasingly tiered. While frontier models may retain pricing premiums for complex, high-value tasks, cost-performance models could see broader adoption in high-volume, ROI-sensitive workloads, creating global share-gain opportunities for China's AI models in the longer term.

## UBS VIEW

As AI adoption moves from experimentation to scaled deployment, we believe cost efficiency is likely to become a key competitive factor alongside model intelligence. Based on our detailed technical analysis, we believe China's AI model providers demonstrate structural and sustainable advantages in training and inference efficiency, which make them well positioned to gain share in the large, expanding global AI TAM, in our view. We highlight MiniMax, Zhipu, Alibaba and Tencent under our coverage as major companies in this theme, together with private companies DeepSeek, Kimi, ByteDance and StepFun.

## EVIDENCE

1) China's frontier models have reached around 90% of the intelligence level of leading US models, improving from around 60% in 2023, according to Artificial Analysis. 2) Total R&D costs of China's listed AI model developers Zhipu/MiniMax amounted to US\$0.5bn/US\$0.3bn in 2025. This is around one-tenth of Anthropic's R&D spending, and even lower relative to OpenAI. 3) API pricing for China's model is significantly lower than those of US peers. Overall, we estimate API prices for China's frontier models averages below 20% of comparable US peers with similar intelligence. 4) MiniMax's M2.7 has gross margins of over 40%, broadly in line with Anthropic (roughly 40% in 2025, mainly API and B2B-driven), and also comparable to OpenAI's 40%/33% gross margin in 2024/25, which benefits from a larger revenue contribution from consumer-facing, subscription-based services. Our channel checks indicate API gross margins for China's major models are roughly in the 20-40% range.

## WHAT'S PRICED IN?

We believe investors do not fully appreciate or have strong conviction in Chinese AI labs' cost leadership, and instead expect materially higher R&D investments and widening losses to support model training and rising token demand. Investors seem also concerned that model offerings will become commoditised over time, leading to intense price competition and potentially unsustainable business models for China's AI model providers.

Figure 1: Chinese models' efficiency at a glance

## Model training efficiency

### #1 STRATEGY FOCUS

Less trial-and-error spend

Allocation of R&D spending



**Implication: meaningful cost-saving potential from lower trial-and-error compute.**

### #2 TRAINING COMPUTE COST

Optimize workload, capacity and GPU-hour cost

**Total training workload**

Smaller parameters (<2tn for leading China models, vs >5tn for frontier US models) + sparse attention to reduce long-context token interactions

**Effective GPU capacity**

Lower precision training (BF16/FP16 to FP8; c.2x theoretical B200 throughput) + higher MFU via scheduling / load balancing

**Cost per GPU hour**

Lower GPU-hour pricing and lower electricity cost (China c.4.4c/kWh vs US c.7.9c/kWh; c.40% saving)

**Training cost  $\approx$  workload / effective GPU capacity  $\times$  GPU-hour cost**

### #3 OPEN-SOURCE ECOSYSTEM

Collective R&D leverage

Open models allow validated technical ideas to diffuse faster across labs.

- Sparse attention**  
Kimi / Zhipu's GLM follow DeepSeek-like latent or sparse attention designs
- Muon optimizer**  
DeepSeek V4 incorporates Moonshot (Kimi)-related optimizer techniques
- GRPO-style RL**  
Qwen3 and GLM-4.5 adopt DeepSeek-like RL recipes

**Once one lab validates an innovation, marginal R&D cost can fall for the broader ecosystem in China.**

## Model inference efficiency

### #1 MODEL -SIDE OPTIMISATION

Model architecture design reduces compute and memory cost.



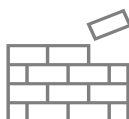
China vs. US / Global

| Dimension        | China                                                                | US / Global                                                      |
|------------------|----------------------------------------------------------------------|------------------------------------------------------------------|
| <b>MoE</b>       | c.3-10% active ratio                                                 | c.15-30% active ratio for earlier MoE                            |
| <b>Attention</b> | More extensive use of sparse attention                               | Greater use of full attention architectures                      |
| <b>KV cache</b>  | Production-grade KV cache compression (e.g., DeepSeek's HCA and CSA) | More experimental-stage KV cache optimization (e.g., TurboQuant) |
| <b>Precision</b> | Broader adoption of low-precision inference (FP8/INT4)               | More BF16/FP16-based deployment                                  |

Note: HCA stands for Heavily Compressed Attention, and CSA stands for Compressed Sparse Attention

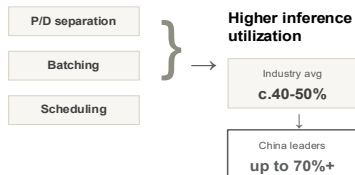
### #2 SERVING / ENGINEERING

AI infrastructure optimization lifts utilization and throughput.



China vs. US / Global

Multiple serving levers



### #3 RESOURCE / HARDWARE COST

Utility-cost advantage + accelerating compute localization.



China vs. US / Global

- + Cheaper energy cost**  
Lower electricity cost provides a cost buffer
- AI chip inference efficiency gap**  
Domestic chips still require optimization but offer long-term cost-saving potential

Source: Epoch AI, SemiAnalysis, company data, UBS

**Figure 2: Glossary of key AI model concepts**

| Category                          | Concept                        | Explanation                                                                                                                                                     |
|-----------------------------------|--------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Basic concepts                    | Token                          | The basic unit of text processed by a model. One token may correspond to a Chinese character or part of an English word.                                        |
|                                   | Parameters                     | The internal weights of a model. More parameters usually indicate larger model capacity, but also higher training and inference cost.                           |
|                                   | Context window                 | The maximum amount of text / tokens a model can process in one request. A longer context window supports longer documents and agentic tasks.                    |
|                                   | Long-horizon task              | A complex task that requires many steps, tool calls or extended context, such as AI coding, debugging or project planning.                                      |
|                                   | AI agent                       | An AI system that can plan, use tools and take actions to complete tasks, rather than only responding in a chatbot format.                                      |
|                                   | Tool use / function calling    | The ability of a model to call external tools, APIs, databases or software functions to retrieve information or execute actions.                                |
| Model architecture & optimisation | MoE (Mixture-of-Experts)       | A model architecture where only a subset of parameters is activated for each token, reducing compute requirements.                                              |
|                                   | Sparse attention               | A design that allows the model to focus on the most relevant parts of the context rather than every token.                                                      |
|                                   | Training / inference precision | The numerical format used in model computation, such as FP16, BF16 and FP8. Lower precision can reduce compute and memory cost while maintaining model quality. |
|                                   | Quantization                   | Reducing the numerical precision of model weights or computation to lower memory usage and inference cost, often with limited impact on model quality.          |
| Inference workflow                | Prefill                        | The stage where the model reads and processes the input prompt before generating any output.                                                                    |
|                                   | Decode                         | The stage where the model generates output tokens one by one.                                                                                                   |
|                                   | KV cache                       | A stored representation of previously processed tokens that avoids recomputing the full context during inference.                                               |
|                                   | Prompt caching / cached input  | Previously processed input tokens that can be reused and charged at a lower cached-input price, instead of being recomputed and charged as full input.          |
| Compute & serving system          | MFU (Model FLOPs Utilisation)  | A measure of how effectively a GPU's theoretical compute capacity is utilised during model training or inference.                                               |
|                                   | Batching                       | Grouping multiple requests together so GPUs can process them more efficiently.                                                                                  |
|                                   | Scheduling                     | The system-level process of assigning requests to GPUs and managing task execution to improve utilisation and latency.                                          |
|                                   | Prefill-Decode separation      | Separating prefill and decode workloads onto different GPU resources to improve utilisation and reduce latency.                                                 |
|                                   | TPS (tokens per second)        | The speed at which a model generates output tokens. Higher TPS means faster response generation.                                                                |
|                                   | TTFT (time to first token)     | The time between submitting a request and receiving the first output token. Lower TTFT improves perceived latency.                                              |
|                                   | GPU-hour                       | One GPU running for one hour. It is a common unit for measuring training or inference compute cost.                                                             |
|                                   | Model router                   | A system that selects the most suitable model for each task based on quality, cost, latency, reliability or other routing rules.                                |
|                                   | AI gateway                     | A unified access layer for multiple models / providers, often handling model routing, API management, monitoring, security and cost control.                    |
| Monetisation                      | API pricing                    | The price charged for model usage, usually based on tokens. Pricing is commonly split into uncached input tokens, cached input tokens and output tokens.        |
|                                   | Token plan                     | A prepaid or subscription-style model usage package, often with a fixed monthly fee and token quota / allowance.                                                |
|                                   | MaaS (Model-as-a-Service)      | A business model where customers access models through APIs or cloud platforms and pay based on usage.                                                          |

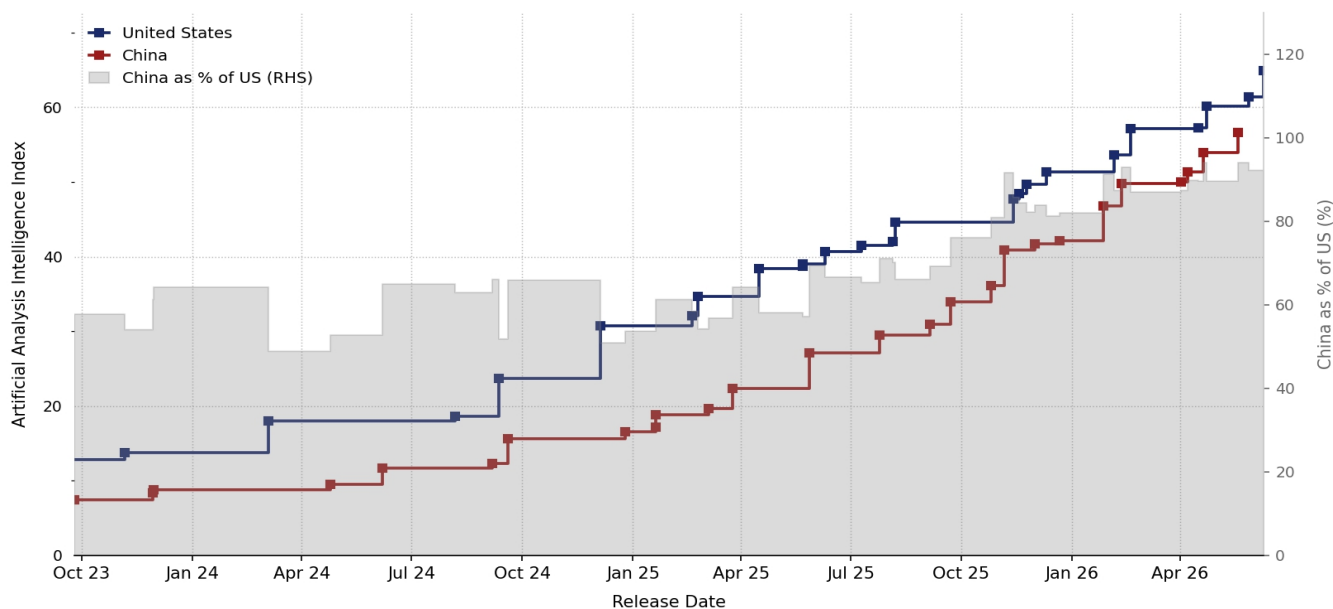
Source: OpenAI, Anthropic, DeepSeek, Google, NVIDIA, arXiv, UBS

## Closing the model performance gap at lower R&D costs

**We see a narrowing performance gap between AI models from the US and China.** While US remains at the forefront globally in model intelligence, China's model providers are iterating rapidly and are catching up on key capabilities in:

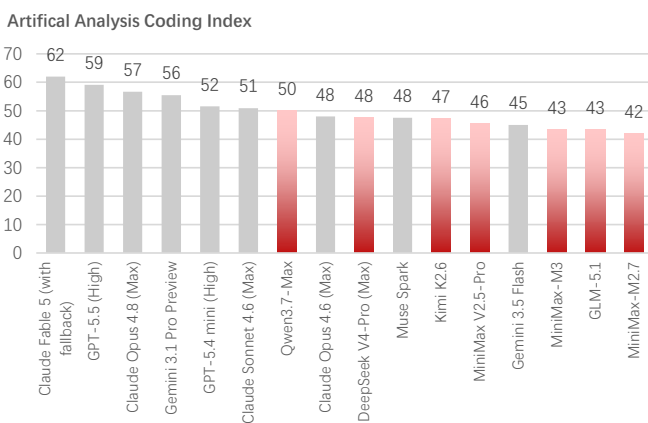
- **Overall intelligence of text models:** China's frontier models have reached around 90% of the intelligence level of top US models, improving from about 60% in 2023, according to data from Artificial Analysis.
- **AI coding:** China's leading models such as Qwen3.7-Max and DeepSeek V4-Pro are comparable with previous generations of overseas models (for example, Claude Opus 4.6), although China's models still lag the latest frontier models such as Claude Fable 5 and GPT-5.5.
- **Multimodality:** We find it encouraging that China's AI models have demonstrated their global competitiveness. For instance, four of the top five video-generation models globally are from China's developers, according to Artificial Analysis.

**Figure 3: Narrowing intelligence gap between frontier models in China and the US**



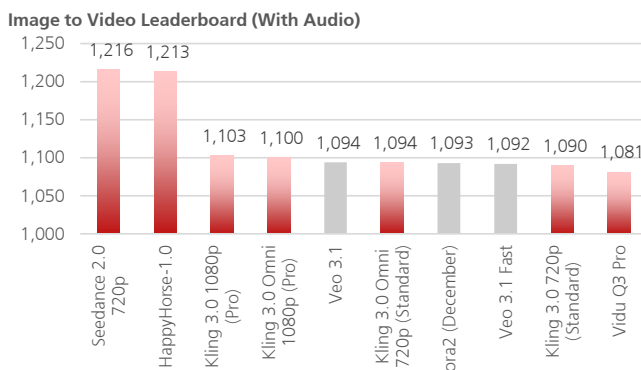
Source: Artificial Analysis, UBS. Note: Data as of 16 June 2026. Models selected represent the highest intelligence levels for China and the US in each month.

**Figure 4: Comparison of coding capabilities of frontier models**



Source: Artificial Analysis, UBS. Note: Data as of 16 June 2026.

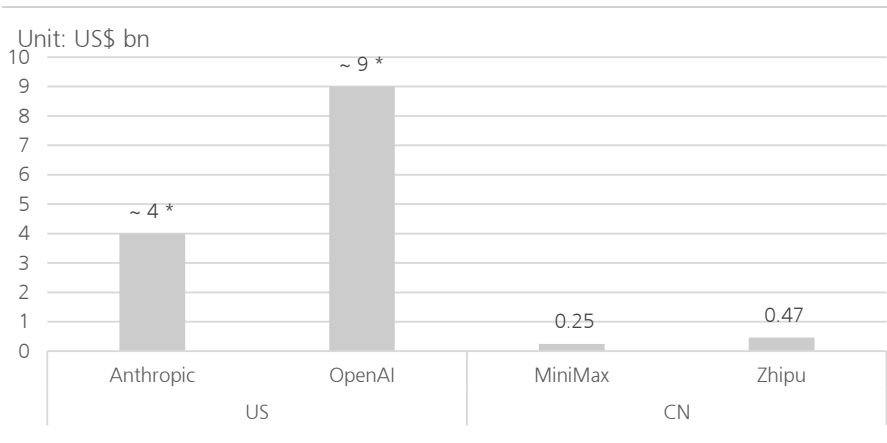
**Figure 5: Comparison of video-generation capabilities of frontier models**



Source: Artificial Analysis, UBS. Note: Data as of 16 June 2026.

**China's AI labs are narrowing the performance gap at notably lower R&D spending than US peers.** Total R&D costs of listed Chinese AI model developers Zhipu/MiniMax were US\$0.5bn/US\$0.3bn in 2025. This represents only around one-tenth of Anthropic's R&D spending, and even less relative to OpenAI, even when considering only server costs (that is computing costs) for the two US leaders. In our view, this suggests China's progress reflects a catch-up in capability as well as significantly more efficient R&D spending.

**Figure 6: R&D cost comparison – China vs. US AI labs (2025)**



Source: The Information. \* MiniMax and Zhipu's R&D costs refer to the total reported R&D expenditure, including computing, staff and other costs. OpenAI's and Anthropic's R&D costs include only computing costs.

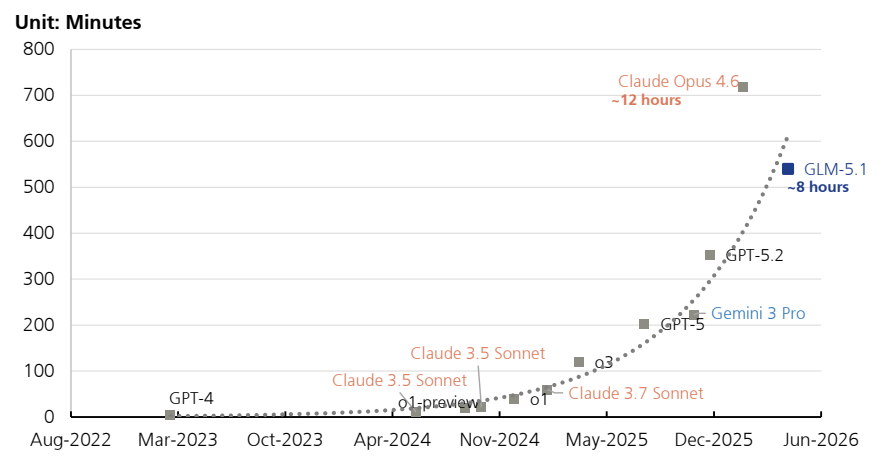
**Distillation helps, but does not fully explain Chinese companies' efficient model development.** We view model distillation as a teacher-student process, in which a 'student' model (often with fewer parameters) learns to mimic the outputs or behaviour of a stronger 'teacher' model. Based on our channel checks with industry experts, distillation can improve model capability with shorter training time and lower compute costs, but its effectiveness is more visible in tasks with verifiable outcomes, repeatable processes or easily imitable patterns. In contrast, distillation is less effective for capabilities that are less verifiable, rely on complex multi-step processes or depend on underlying architecture and system-level engineering (Figure 7). We believe China's progress in frontier models suggests capability gains beyond distillation alone. For instance, Zhipu has demonstrated strong long-horizon reasoning, while MiniMax models feature advanced multimodal capabilities.

**Figure 7: Distillation helps in verifiable tasks but generally has limitations in frontier capabilities**

| Applicability    | Task type                                                                                                                                                                     | Explanation                                                                                                                                                                                             |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| More distillable | <b>Verifiable tasks</b><br>(e.g., maths, basic coding, fixed benchmark questions, exam-style reasoning)                                                                       | Answers are verifiable; teacher reasoning traces and outputs can be converted into high-quality training data; student models can catch up through large-scale samples.                                 |
|                  | <b>Imitable output patterns</b><br>(e.g., instruction following, answer style, formatting preference, scenario-specific response templates)                                   | Student models can learn the teacher's output distribution and user-preferred response style, even without fully replicating the underlying capability.                                                 |
| Less distillable | <b>Long-horizon tasks</b><br>(e.g., agentic coding, multi-step workflow execution, complex tool use)                                                                          | These tasks depend on skill selection, tool calls, environment feedback and error recovery, not just final answers; the full trajectory is harder to observe and distil.                                |
|                  | <b>Native multimodality</b><br>(e.g., image, video, audio and text understanding / generation)                                                                                | Multimodal capability is not just converting visual / audio outputs into text for imitation; frontier performance requires deeper fusion of text, image, video and audio within the model architecture. |
|                  | <b>Architecture / system-dependent capabilities</b><br>(e.g., long context, low hallucination, inference efficiency, KV-cache management, low-cost deployment, data flywheel) | These capabilities rely more on model architecture, training data, inference infrastructure, real-user feedback and engineering organisation than on observing teacher outputs.                         |

Source: UBS

**Figure 8: Anthropic's Claude Opus 4.6 leads in long-horizon coding tasks globally (~12 hours), while GLM-5.1 reaches ~8 hours**



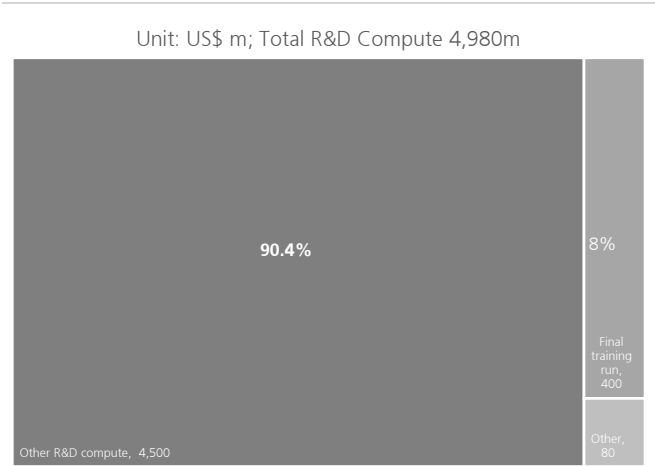
Source: Company data, Model Evaluation & Threat Research. Note: Time horizon measures the length of tasks (human-equivalent duration) that AI agents can complete with a 50% success rate.

## Demystifying China AI labs' R&D efficiency

### China's model labs follow a more focused R&D strategy

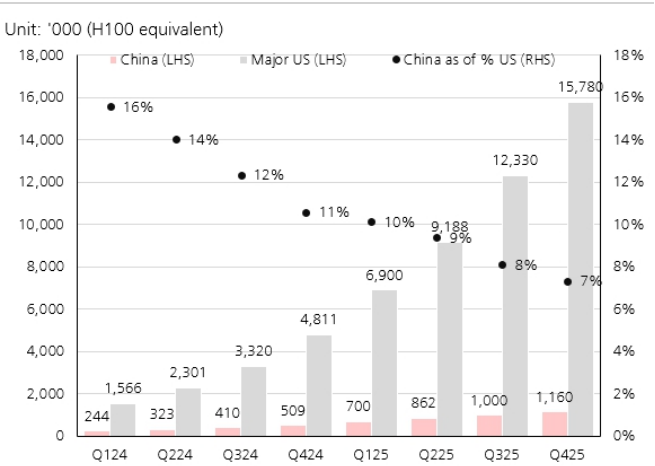
In terms of R&D spending allocation, we observe differing strategic focus between the US and China. For US frontier labs, we see a larger share of R&D spending being used for experimentation and path exploration, reflecting a stronger emphasis on pushing the upper limits of model intelligence, supported by greater compute resources. These experiments may span pre-training (non-Transformer architecture for example), data (such as data curation and synthetic-data recipes), and post-training stages (including reinforcement learning from human feedback [RLHF] and reinforcement learning-based reasoning and alignment). Taking OpenAI as an example, Epoch AI data suggests that around 90% of the R&D compute budget is spent on experimentation, with only about 10% used for final model training.

**Figure 9: Around 90% of OpenAI's 2024 compute was used for experimentation**



Source: Epoch AI. Note: Other R&D compute includes basic research, experimental/derisking runs for final training runs, and unreleased models.

**Figure 10: Cumulative chips ownership comparison between China and the US**



Source: Epoch AI. Note: Major US AI chip owners include Google, Amazon, Meta, Oracle, CoreWeave, xAI and Microsoft. Compute capacity is expressed in the equivalent numbers of Nvidia H100s, based on dense 8-bit operations per second.

In contrast, we believe China's model labs tend to follow a more focused R&D path, which could create meaningful cost-saving potential by reducing the trial-and-error process. We think China's different strategic choices versus the US are mainly driven by two factors.

**1. More constrained compute resources.** China's labs appear to allocate a smaller proportion of resources to broad experimentation, focusing instead on formal model training, targeted capability improvements, and architecture and engineering optimisation.

**2. Open-source ecosystem helps spread experimentation costs across China's AI labs.** While individual labs in China tend to follow a more focused R&D path, the broader open-source ecosystem allows technical learnings to diffuse across companies. This means not every lab needs to independently repeat the same broad set of experiments as closed-source US peers. Instead, once one lab validates an architecture, training recipe or optimisation method, others can learn from it and build on top of it (see examples below). In our view, this creates collective R&D leverage and lowers the marginal cost of capability improvement for China's labs.

- Kimi K2 and GLM-5 have adopted MLA-like latent attention design following DeepSeek's earlier validation;
- Zhipu has adopted elements inspired by DeepSeek's sparse attention mechanism;
- DeepSeek V4 has incorporated techniques related to Moonshot AI and Kimi's Muon optimiser;
- Qwen3 and Zhipu GLM-4.5 have implemented GRPO-style RL recipes following DeepSeek.

**Figure 11: Training algorithm diffusion among China's AI labs**

| Algorithm                                 | First mover        | Follower            | What it improves                              |
|-------------------------------------------|--------------------|---------------------|-----------------------------------------------|
| MLA (Multi-head Latent Attention)         | DeepSeek V2        | Kimi K2/GLM-5       | Reduces long-context training memory pressure |
| DSA (DeepSeek Sparse Attention)           | DeepSeek V3.2-Exp  | GLM-5               | Reduces long-context attention compute        |
| Muon Optimizer                            | Moonshot Moonlight | GLM-4.5/DeepSeek V4 | Improves optimizer efficiency / convergence   |
| GRPO (Group Relative Policy Optimization) | DeepSeekMath /R1   | Qwen3/GLM-4.5       | Lowers RL post-training overhead              |

Source: Company data, arXiv, UBS

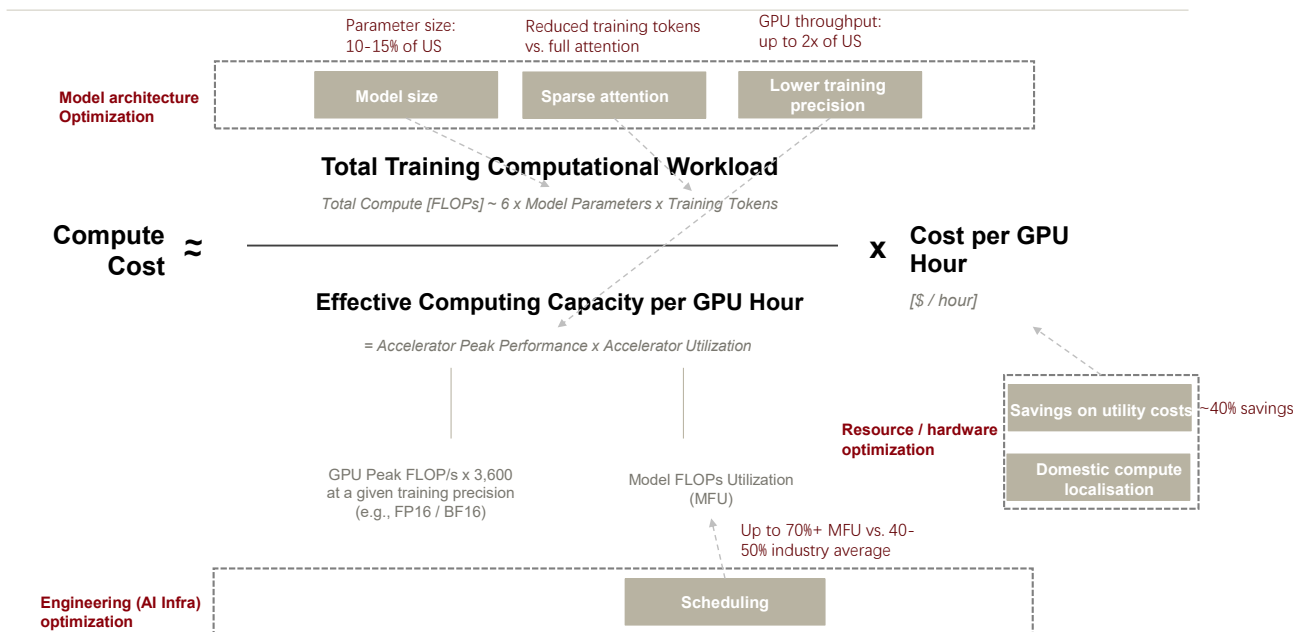
## Technological innovation to reduce training workload and improve compute utilisation

**Within R&D spend, we analyse the largest cost component – model training compute costs.** We estimate model training compute costs could account for 65-75% of total R&D expenses for China's leading AI labs such as MiniMax and Zhipu. We think model training compute costs can be interpreted as a function of the following key factors, and we have observed that China's AI labs are optimising several of these factors.

- **Total training workload**, which is broadly determined by model size (namely the number of parameters), and training token volume (generally related to dataset size and attention mechanism);
- **Effective GPU capacity**, which depends on the GPU's peak performance and actual utilisation during training, commonly measured by Model FLOPs Utilisation (MFU). The model training workload is divided by effective computing capacity per GPU hour to derive the total GPU hours required.
- **Cost per GPU hour**, which is affected by utility costs and hardware efficiency (such as GPU). Model training compute costs can be estimated by multiplying total GPU hours required by the cost per GPU hour.

Figure 12: Breakdown of typical model training compute costs

## Training compute cost



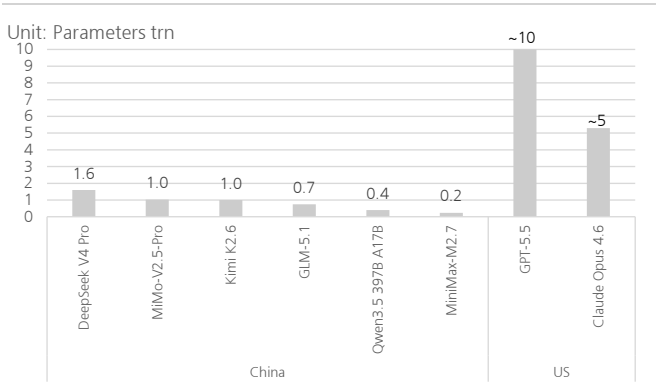
Source: Epoch AI, arXiv, Company data, UBS

### 1. Lower training computational workload from smaller parameters and sparse attention

**Smaller parameters help reduce model training workload but may also partly explain the performance gap.** China's frontier models remain smaller than their US counterparts on parameter scale. Total parameters for China's leading models are still below 2trn (for example DeepSeek V4 at 1.6trn and Kimi K2.6 at around 1trn). For US models, official data is limited due to their closed-source architectures, but [academic papers](#) estimate leading models such as Claude Opus 4.6/ChatGPT 5.5 have scaled to around 10trn/5trn parameters. That said, while smaller model size reduces training workload for China's labs, it may also partly contribute to the capability gap versus US frontier models, in our view.

**Reduced training volume (in terms of effective token-interaction workload) through sparse-attention architectures.** In Transformer models, attention determines how each token incorporates information from other tokens in the sequence. Full attention requires every token to interact with every other token, making compute scale quadratically with context length. Sparse attention reduces this burden by limiting attention to a subset of relevant tokens, thereby lowering effective token-to-token interactions in long-context training and inference. Given more constrained compute-resource availability, our channel checks of industry experts indicate China's AI labs are putting more effort into sparse-attention designs to reduce compute consumption. In comparison, US peers may place greater emphasis on model quality (such as multi-step reasoning), where full attention remains a more robust but compute-intensive design choice. For instance, DeepSeek V3.2 uses DeepSeek Sparse Attention (DSA) to reduce the workload, while DeepSeek V4 adds context compression before the sparse design based on V3.2 to improve long-context efficiency.

Figure 13: Total parameters of select frontier AI models – China vs. the US



Source: arXiv (Incompressible Knowledge Probes: Estimating Black-Box LLM Parameter Counts via Factual Capacity), Artificial Analysis

Figure 14: Attention mechanisms of China's AI model vendors

| Provider    | Models        | Attention mechanism                                                    |
|-------------|---------------|------------------------------------------------------------------------|
| DeepSeek    | DeepSeek V3.2 | DSA (DeepSeek Sparse Attention)                                        |
|             | DeepSeek V4   | CSA (Compressed Sparse Attention) + HCA (Heavily compressed Attention) |
| MiniMax     | MiniMax M3    | MSA (MiniMax Sparse Attention)                                         |
| Moonshot AI | Kimi Linear   | KDA (Kimi Delta Attention)                                             |
| Zhipu       | GLM-5         | DSA (Dynamic Sparse Attention)                                         |
| Alibaba     | Qwen2/2.5/3   | GQA (Grouped-Query Attention)                                          |

Source: Company data

2. Increasing GPU throughput by adopting lower compute precision; multiple approaches to improve MFU

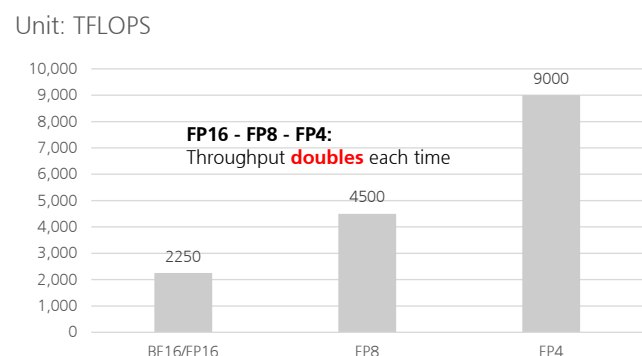
As discussed in our training cost framework, in addition to reducing total compute workload on the numerator side, AI labs can also lower total training costs by enlarging the denominator, that is by increasing the effective computing capacity per GPU hour.

**We see China's labs placing greater emphasis on lower compute precision.** Under the same GPU, lower precision can significantly increase throughput, as fewer bits are used per value, enabling more calculations per unit time while reducing memory usage and data movement. Taking the Nvidia B200 as an example, moving from BF16/FP16 to FP8 can roughly double theoretical GPU throughput. While large-scale model training has historically relied on BF16/FP16 mixed precision, we see China's AI labs pushing the frontier of lower-precision training. Examples include DeepSeek-V3's FP8 mixed-precision training framework and DeepSeek V4's FP4 quantisation-aware training for select model components. Meanwhile, Baidu's ERNIE 4.5 and 5.0 adopt FP8 mixed-precision training, while Alibaba's Qwen3.5 introduces a native FP8 pipeline and FP8 end-to-end training techniques.

**Multiple approaches to improve MFU.** China's AI labs are establishing dedicated AI infrastructure teams to optimise compute resource utilisation. For instance, with its end-to-end infrastructure team, MiniMax has achieved more than 75% MFU, a key indicator of computational efficiency for model inference activities, higher than the industry average of 40-50%. Specifically, MiniMax has implemented:

- **Unified training and inference computing**, with an intelligent scheduling system that dynamically allocates computing resources between training and inference tasks, maximising cluster utilisation without compromising performance.
- **Cross-cluster load balancing**, which enables flexible resource distribution, lowers latency and enhances reliability and disaster recovery.

**Figure 15: Nvidia B200 dense tensor-core throughput by precision**



Source: Nvidia

**Figure 16: Training precision – China's AI labs**

| Provider | Model       | Precision strategy                                    |
|----------|-------------|-------------------------------------------------------|
| DeepSeek | DeepSeek V3 | FP8 mixed-precision training                          |
|          | DeepSeek V4 | FP4 quantization-aware training + FP8 mixed precision |
| Baidu    | ERNIE 4.5   | FP8 Mixed-Precision Training                          |
|          | ERNIE 5.0   |                                                       |
| Alibaba  | Qwen3.5     | FP8 end-to-end training                               |

Source: Company data, arXiv

### 3. Lower unit GPU-hour costs supported by utility efficiency

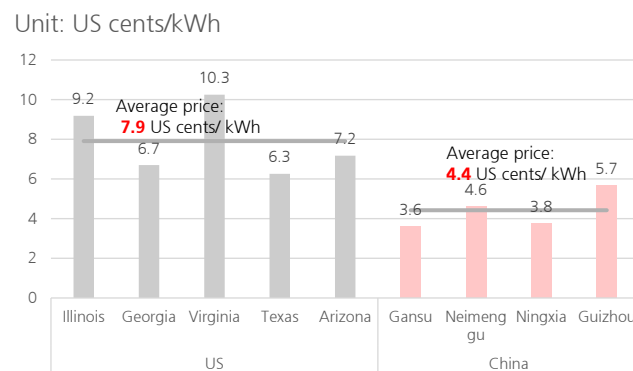
**We note that China appears to have a relative advantage in GPU rental prices versus the US for comparable GPUs.** Taking Nvidia H100 rental prices as an example, the average US price is about US\$1.99-3.99/GPU-hour, while it is about 40% lower for China, at about US\$1.3-2.1/GPU-hour (Rmb9-15/GPU-hour). We believe lower utility costs (typically a low-to-mid-teen percentage of data-centre total cost of ownership, or TCO, according to SemiAnalysis), especially for electricity, could partly explain this gap, although GPU rental prices are also affected by hardware amortisation, utilisation, contract terms and providers' margins. In the US, we estimate the average electricity price in key datacentre states such as Illinois and Georgia is about 7.9 cents/kWh, while comparable regions in China average around 4.4 cents/kWh, or roughly 44% lower.

**Figure 17: Nvidia H100 rental price comparison**



Source: Company data. Note: The above data refers to price range across cloud services providers in China and the US, including Lambda, RunPod, Spader.AI and QingCloud. Data as of June 2026.

**Figure 18: Energy cost comparison between China and the US**



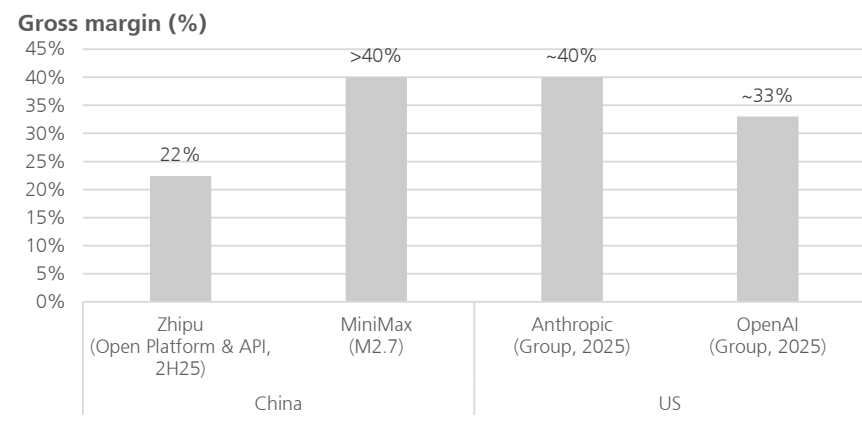
Source: US Energy Information Administration (EIA). Note: Data as of June 2026.

## World-leading inference efficiency to support competitive prices at healthy margins

**Lower model pricing, but comparable gross margins.** China's model API prices are significantly lower than those of US peers. Overall, we estimate the average API prices for China's frontier models is below 20% of comparable US models with similar intelligence. The pricing gap is more pronounced for some models: DeepSeek V4 Pro and MiniMax M2.7 are priced at less than 5% of Anthropic's Opus series, despite only a modest capability gap.

However, the gap in gross margins appears much narrower than the pricing level. MiniMax M2.7 has a gross margin of over 40%, broadly in line with Anthropic (about 40% in 2025, mainly API and B2B-driven), also comparable to OpenAI's 40%/33% gross margin in 2024/2025, which has a larger revenue contribution from consumer-facing, subscription-based services. Based on our checks, API gross margins for China's major models are roughly in the 20-40% range.

**Figure 19: Gross margin of API businesses**



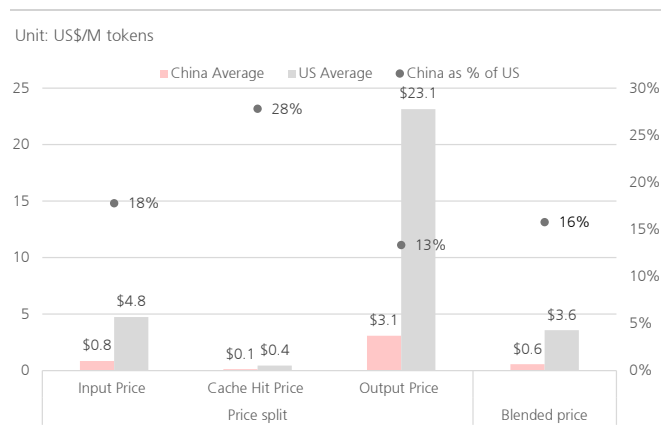
Source: Company data, The Information, UBS channel checks for China's major models

**Figure 20: API prices of key AI models**

| Provider  | Model                                                              | Release Date | AA Intelligence Index | Input Price (\$/M tokens) | Cache Hit Price (\$/M tokens) | Output Price (\$/M tokens) | Blended price (\$/M tokens) |
|-----------|--------------------------------------------------------------------|--------------|-----------------------|---------------------------|-------------------------------|----------------------------|-----------------------------|
| Zhipu     | GLM-5.1 (Reasoning)                                                | 2026-04-07   | 51.4                  | \$1.4                     | \$0.3                         | \$4.4                      | \$0.9                       |
|           | GLM-5 (Reasoning)                                                  | 2026-02-11   | 49.8                  | \$1.0                     | \$0.2                         | \$3.2                      | \$0.7                       |
| MiniMax   | MiniMax-M3                                                         | 2026-06-01   | 54.7                  | \$0.3                     | \$0.1                         | \$1.2                      | \$0.2                       |
|           | MiniMax-M2.7                                                       | 2026-03-18   | 49.6                  | \$0.3                     | \$0.1                         | \$1.2                      | \$0.2                       |
| Kimi      | Kimi K2.6                                                          | 2026-04-20   | 53.9                  | \$1.0                     | \$0.2                         | \$4.0                      | \$0.7                       |
|           | Kimi K2.6 (Non-reasoning)                                          | 2026-04-20   | 42.9                  | \$1.0                     | \$0.2                         | \$4.0                      | \$0.7                       |
| DeepSeek  | DeepSeek V4 Pro (Reasoning, High Effort)                           | 2026-04-24   | 49.8                  | \$0.4                     | \$0.0                         | \$0.9                      | \$0.2                       |
|           | DeepSeek V4 Flash (Reasoning, High Effort)                         | 2026-04-24   | 46.0                  | \$0.1                     | \$0.0                         | \$0.3                      | \$0.1                       |
| Alibaba   | Qwen3.7 Max                                                        | 2026-05-19   | 56.6                  | \$2.5                     | \$0.3                         | \$7.5                      | \$1.4                       |
|           | Qwen3.6 Max Preview                                                | 2026-04-20   | 51.8                  | \$1.3                     | \$0.1                         | \$7.8                      | \$1.1                       |
| Tencent   | Hy3-preview (Reasoning)                                            | 2026-04-23   | 41.9                  | \$0.1                     | \$0.1                         | \$0.4                      | \$0.1                       |
| Anthropic | Claude Fable 5 (Adaptive Reasoning, Max Effort, Opus 4.8 Fallback) | 2026-06-09   | 64.9                  | \$10.0                    | \$1.0                         | \$50.0                     | \$7.7                       |
|           | Claude Opus 4.8 (Adaptive Reasoning, Max Effort)                   | 2026-05-28   | 61.4                  | \$6.3                     | \$0.5                         | \$25.0                     | \$4.1                       |
|           | Claude Opus 4.7 (Adaptive Reasoning, Max Effort)                   | 2026-04-16   | 57.3                  | \$6.3                     | \$0.5                         | \$25.0                     | \$4.1                       |
|           | Claude Sonnet 4.6 (Non-reasoning, High Effort)                     | 2026-02-17   | 44.4                  | \$3.8                     | \$0.3                         | \$15.0                     | \$2.5                       |
|           | Claude 4.5 Haiku (Non-reasoning)                                   | 2025-10-15   | 31.0                  | \$1.3                     | \$0.1                         | \$5.0                      | \$0.8                       |
| OpenAI    | GPT-5.5 (xhigh)                                                    | 2026-04-23   | 60.2                  | \$5.0                     | \$0.5                         | \$30.0                     | \$4.4                       |
| Google    | Gemini 3.1 Pro Preview                                             | 2026-02-19   | 57.2                  | \$2.0                     | \$0.2                         | \$12.0                     | \$1.7                       |

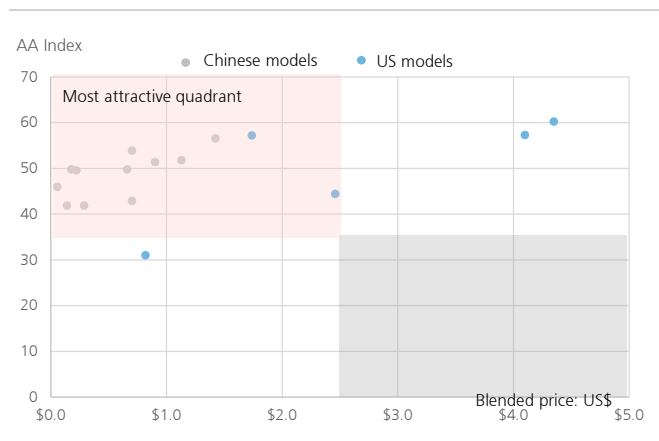
Source: Company data, Artificial Analysis. Note: Data as of 15 June 2026. The blended price is calculated using cached input, uncached input and output token prices, with a ratio of 7:2:1. AA = Artificial Analysis.

**Figure 21: Price comparison of AI models – China vs. the US**



Source: Artificial Analysis. Note: Data as of 15 June 2026. The blended price is calculated using cached input, uncached input and output token prices, with a ratio of 7:2:1.

**Figure 22: China's models have a higher cost-performance ratio**

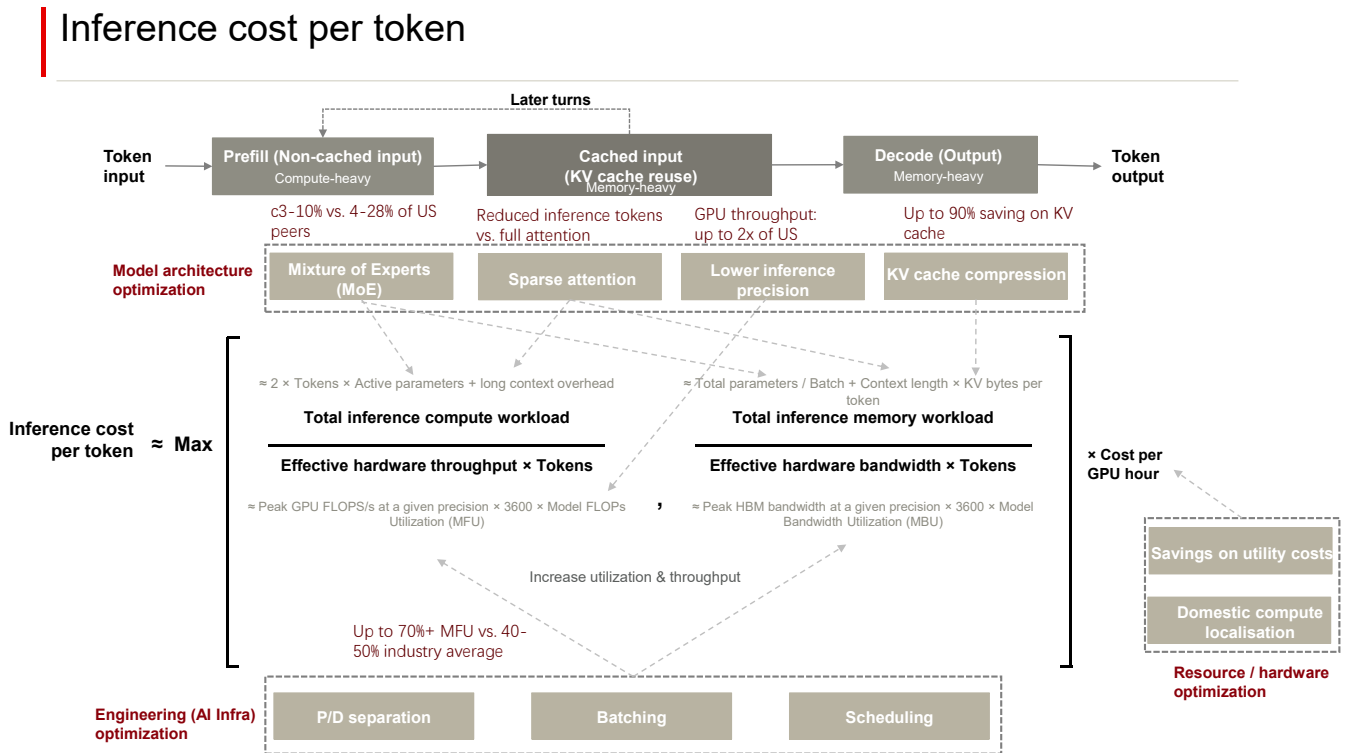


Source: Artificial Analysis

**Similar to the high efficiency in model training, we see multiple inference-side levers for China's model providers to optimise costs**, supporting lower prices while protecting margins. Specifically, we break down Chinese models' inference efficiency into three layers:

- **Model architecture optimisation:** Beyond smaller model sizes, China's labs are adopting more sparse MoE architectures to reduce active compute. KV-cache compression, built on sparse-attention designs, can further lower memory-related costs, which we see as the largest inference cost component, while lower-precision computation is also more widely used at the inference stage;
- **Serving and engineering optimisation:** Inference workloads are more fragmented, real-time and heterogeneous than training, creating more room for serving-layer optimisation such as P/D separation, batching and dynamic scheduling, which can improve GPU utilisation and serving throughput;
- **Resource and hardware optimisation:** Similar to training, inference benefits from China's energy-cost advantage, while domestic compute adoption appears to be moving faster at the inference stage given workloads are more modular and easier to optimise for specific models and use cases, in our view.

Figure 23: Breakdown of model inference costs



Source: Epoch AI, arXiv, Company data, UBS

## 1. Model-side optimisation: Lower compute and memory usage

Under constrained compute resources, China's model labs continue to innovate in model architecture to lower inference costs. Compared with training, inference provides additional optimisation levers, allowing labs to reduce overall model scale, lower active compute (through Mixture of Experts, or MoE), adopt sparse attention and compress memory usage (namely KV-cache compression).

- Mixture of Experts reduces active parameters.** China's frontier models tend to have smaller total parameter scales than US counterparts, which lowers their baseline compute requirements. At the inference stage, MoE provides an additional layer of sparsity by routing each token to only a subset of expert networks, rather than activating the full model for every token. While we acknowledge that MoE is not unique to China and was initially developed by overseas labs, China's model developers appear more proactive in deploying it at scale, improving model sparsity (by lowering the active-parameter ratio) while still enhancing model performance. Given limited visibility into closed-source overseas models, we note that earlier overseas MoE models such as GPT-4, Grok-1 and Llama 4 Scout typically activated about 15-30% of total parameters, while China's leading MoE models usually activate only about 3-10%. We view DeepSeek as a notable example: its MoE active-parameter ratio declined from about 5% in DeepSeek V3.2 to about 3% in V4 Pro, while more efficient parameter activation still supported further improvements in model intelligence (AA Intelligence Index rising from 42 to 52).
- Sparse attention reduces long-context compute.** Similar to the training phase, attention design is another inference-efficiency lever. Moving from full attention to sparse attention can reduce the number of token interactions, especially in long-context workloads such as AI coding, agents and long-document tasks, lowering effective compute required per request. At the inference stage, the sparse attention architecture can be combined with KV-cache compression, further lowering compute workloads.
- While memory-related costs dominate inference costs, KV-cache compression can significantly reduce them.** Based on an [academic paper](#), cached input is the largest cost component in inference, accounting for about 70% of total costs in multi-round agent tasks, while the remaining costs come

from uncached input and output. KV-cache compression can therefore materially reduce total inference costs. Notably, the decline in cached-input prices was the largest cost-saving driver for DeepSeek V4 pricing (V4 Pro's blended cost is about 10% lower than V3 despite significantly better performance, offsetting higher input and output pricing). We believe this likely reflects DeepSeek's KV-cache innovations (Heavily Compressed Attention [HCA] and Compressed Sparse Attention [CSA]), with its technical report showing V4 requires only about 10% of V3.2's KV cache at the same context length (1m tokens). Other AI labs in China have adopted similar approaches (for example, Kimi's KDA). That said, overseas vendors also explore KV-cache optimisation amid rising memory costs and long-context serving pressure, such as Google's TurboQuant, although China's leading labs appear more aggressive in embedding KV reduction into their model architecture.

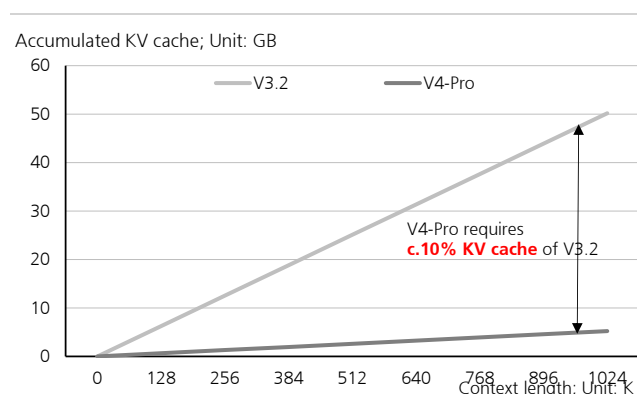
- **Lower precision is easier to adopt in inference (i.e., quantisation) than in training.** While low-precision training requires careful control of model stability and effective learning, inference generally has higher tolerance for lower-precision computation. This can improve throughput and reduce memory usage with less impact on model quality, adding another cost-saving lever at the inference stage. We observe wider adoption of low inference precision across China's AI labs, including both emerging AI labs (such as DeepSeek, Zhipu and Moonshot AI) as well internet incumbents (such as Baidu, Alibaba and Tencent).

**Figure 24: LLM MoE sparsity comparison – China vs. global**

| Model                  | Company     | Release date | AA Intelligence Index | Total parameters (B) | Active parameters (B) | Active-to-total parameter ratio |
|------------------------|-------------|--------------|-----------------------|----------------------|-----------------------|---------------------------------|
| <b>China's AI labs</b> |             |              |                       |                      |                       |                                 |
| DeepSeek V3.2          | DeepSeek    | Dec-25       | 42                    | 648                  | 37                    | 5.7%                            |
| GLM-5.1                | Zhipu       | Apr-26       | 51                    | 744                  | 40                    | 5.4%                            |
| MiniMax-M2.7           | MiniMax     | Mar-26       | 50                    | 230                  | 10                    | 4.3%                            |
| Mimo-V2.5-Pro          | Mimo        | Apr-26       | 54                    | 1,023                | 42                    | 4.1%                            |
| Kimi K2.6              | MoonShot AI | Apr-26       | 54                    | 1,000                | 32                    | 3.2%                            |
| DeepSeek V4 Pro        | DeepSeek    | Apr-26       | 52                    | 1,600                | 49                    | 3.1%                            |
| <b>Global AI labs</b>  |             |              |                       |                      |                       |                                 |
| GPT-4*                 | OpenAI      | Mar-23       | 13                    | 1,800                | 280                   | 15.6%                           |
| Mixtral 8x7B           | Mistral AI  | Dec-23       | 8                     | 47                   | 13                    | 27.6%                           |
| Grok-1                 | xAI         | Mar-24       | 12                    | 314                  | 79                    | 25.0%                           |
| Mixtral 8x22B          | Mistral AI  | Apr-24       | 10                    | 141                  | 39                    | 27.7%                           |
| Llama 4 Scout          | Meta        | Apr-25       | 14                    | 109                  | 17                    | 15.6%                           |
| Llama 4 Maverick       | Meta        | Apr-25       | 18                    | 400                  | 17                    | 4.3%                            |
| gpt-oss-120b           | OpenAI      | Aug-25       | 33                    | 117                  | 5                     | 4.4%                            |
| gpt-oss-20b            | OpenAI      | Aug-25       | N/A                   | 21                   | 4                     | 17.1%                           |

Source: Company data, SemiAnalysis, Artificial Analysis. \*Note: The ChatGPT-4 parameter data is from SemiAnalysis estimation

**Figure 25: DeepSeek V4 Pro's KV cache reduction vs. V3.2**



Source: Company data

**Figure 26: Price comparisons of DeepSeek's V4 series and V3.2**

| Pricing (US\$/mn tokens)    | Input       | Output      | Cached Input | Blended Price |
|-----------------------------|-------------|-------------|--------------|---------------|
| DeepSeek V4 Flash           | 0.14        | 0.28        | 0.003        | 0.06          |
| DeepSeek V3.2               | 0.3         | 0.45        | 0.14         | 0.20          |
| <b>Price change vs V3.2</b> | <b>-53%</b> | <b>-38%</b> | <b>-98%</b>  | <b>-71%</b>   |
| DeepSeek V4 Pro             | 0.435       | 0.87        | 0.004        | 0.18          |
| DeepSeek V3.2               | 0.3         | 0.45        | 0.14         | 0.20          |
| <b>Price change vs V3.2</b> | <b>45%</b>  | <b>93%</b>  | <b>-97%</b>  | <b>-11%</b>   |

Source: Artificial Analysis. Note: The blended price is calculated using cached input, uncached input and output token prices, with a ratio of 7:2:1.

**Figure 27: Inference precision of China's model vendors**

| Provider    | Model                        | Precision strategy                                           |
|-------------|------------------------------|--------------------------------------------------------------|
| DeepSeek    | DeepSeek-V3                  | Official <b>FP8</b> inference support                        |
|             | DeepSeek-V4 series           | <b>FP4</b> routed experts+ <b>FP8</b> for most other weights |
| Zhipu       | GLM-4/5 series               | Official <b>FP8</b> inference checkpoints                    |
| MiniMax     | MiniMax M2 series            | <b>FP8</b> inference support                                 |
| Moonshot AI | Kimi K2 series               | Native <b>INT4</b> quantization via post-training QAT        |
| Alibaba     | Qwen3 series                 | Official fine-grained <b>FP8</b> checkpoints                 |
| Baidu       | ERNIE-4.5                    | Weight 4-bit Activation 8-bit                                |
| Tencent     | Hunyuan series via AngelSlim | <b>FP8/INT4</b> quantized models                             |

Source: Company data, arXiv, UBS

## 2. Serving and engineering optimisation: Higher throughput from better workload orchestration

Beyond model architecture, AI developers can further reduce inference costs by optimising the AI infrastructure layer (namely compute clusters), improving chip utilisation and serving throughput. Compared with training, where optimisation is mainly focused on keeping large-scale clusters stable and improving MFU, inference serving has more heterogeneous workloads and therefore more room for workload separation, batching and real-time scheduling.

- **P/D separation improves resource matching.** We view P/D separation as an inference-specific lever. While training workloads are relatively more uniform, LLM inference consists of two distinct phases: prefill (processing the input prompt and building KV cache) and decode (generating output tokens). These two phases have different resource profiles: prefill is more compute-heavy, while decode is more memory- and bandwidth-heavy, as well as latency-sensitive. Prefill and decode disaggregation separates the two workloads into different GPU pools, allowing each phase to use more suitable resources and reducing interference between long prompts and token generation.
- **Batching improves GPU utilisation.** We view batching as more important in inference than training. Training naturally processes large batches of data, while inference demand arrives in fragmented, real-time user requests with different prompt lengths and output lengths. Batching combines multiple inference requests so GPUs process more tokens together rather than serving each request independently. Continuous and in-flight batching further improves throughput by admitting new requests as soon as finished sequences leave the batch, rather than waiting for the slowest request to finish. This helps raise GPU utilisation and reduces cost per token.
- **Scheduling reduces idle time and load imbalance.** Similar to the training phase, inference systems need to keep expensive GPUs working rather than waiting. Better scheduling (e.g., unified training and inference compute, cross-load balancing, routing between different model sizes and clusters) can reduce idle time, smooth traffic spikes, and improve overall cluster utilisation.

**Figure 28: P/D separation adoption among China's vendors**

| Vendor         | Model          | Timing   | What they did                                                                           |
|----------------|----------------|----------|-----------------------------------------------------------------------------------------|
| Moonshot AI    | Kimi chat      | Jun-2024 | Separated prefill and decode clusters, with KV cache aware scheduling.                  |
| DeepSeek       | DeepSeek V3/R1 | Feb-2025 | Adopted prefill-decode disaggregation to improve throughput and latency                 |
| Zhipu          | GLM-5          | Feb-2026 | Using prefill-decode disaggregation for dedicated prefill/decode within Slime framework |
| Baidu AI Cloud | DeepSeek R1    | Oct-2025 | Using PD-separated deployment on Baige with ALAK inference engine                       |

Source: Company data, arXiv

### 3. Resource and hardware costs: Accelerating compute power localisation in inference stage

**Energy cost advantage applies to training and inference.** Similar to training, China may benefit from lower electricity costs, resulting in lower GPU-hour rental prices for comparable AI chips and providing a cost buffer for inference.

#### We see faster progress of domestic chip adaptation in inference than training.

Frontier training still requires highly stable large-scale clusters, mature software stacks, high memory bandwidth and strong interconnect, where domestic alternatives still need time to catch up, in our view. In contrast, inference workloads can be more modular and easier to optimise for specific models and use cases, which we believe could make domestic-chip deployment more feasible in the near term. That said, we also acknowledge actual cost advantages still depend on utilisation, serving stability, model compatibility and workload mix.

**Figure 29: Summary of China's AI models adopting domestic chips**

| Vendor   | Model          | Domestic chip                                                      | What they did                                                                      |
|----------|----------------|--------------------------------------------------------------------|------------------------------------------------------------------------------------|
| DeepSeek | DeepSeek V4    | Huawei Ascend                                                      | Supports deployment on Huawei's Ascend 950-based super node                        |
|          | DeepSeek V3/R1 |                                                                    | Supports model deployment on Huawei Ascend                                         |
| Zhipu    | GLM-5          | Ascend, Moore Threads, Hygon, Cambricon, Kunlunxin, MetaX, Enflame | Full-stack adapted to Chinese GPU ecosystems, from kernels to inference frameworks |
| Baidu    | ERNIE series   | Kunlun P800                                                        | Supports ERNIE 4.5 inference deployment                                            |

Source: Company data

**Looking ahead, we expect China's structural inference-cost advantages to continue over the medium to longer term.** We base this view on the following factors:

- The largest cost savings appear to come from model-layer innovation** (such as MoE sparsity, sparse attention, KV-cache compression and low precision), which US frontier labs are unlikely to rapidly replicate by changing their underlying model architectures purely to compete on cost, in our view. This is because pushing the upper limits of model intelligence remains their strategic priority, while greater compute resources may also lower their incentive to optimise for efficiency.
- Resource and hardware advantages provide additional support.** China's lower energy costs relative to the US remains an additional cost buffer. On hardware, we also see China's AI labs and domestic chip suppliers working together to gradually narrow the performance and efficiency gap with US chips. For instance, DeepSeek noted that V4-Pro API prices could fall significantly after Huawei's Ascend 950 SuperPod enters mass production in H226, highlighting the

cost-saving potential of domestic-chip deployment. StepFun also launched Step 3 with domestic-chip deployment in mind and formed a model-chip ecosystem alliance with nearly 10 domestic chip and infrastructure vendors to improve adaptation and inference efficiency.

3. **That said, we recognise engineering as a potential area where US labs could narrow the gap.** Improved infrastructure orchestration (such as scheduling, batching and serving-stack optimisation) could reduce inference costs without requiring fundamental changes to model architecture.

Looking ahead, we expect continued optimisation across these three layers, i.e. model architecture, serving efficiency and resource / hardware cost, to further reduce inference cost per token. Meanwhile, mounting token demand and constraint in compute may keep API prices resilient in the near term. In our view, this could create room for longer-term gross margin expansion of China's model API services.

## >US\$10trn long-term AI opportunity globally, with model supply dominated by the US and China

In light of rapidly evolving AI and LLM development, we see a vast opportunity in the global AI market, with long-term TAM potentially exceeding US\$10trn. This magnitude has been widely cited by industry leaders, including [Nvidia's CEO Jensen Huang](#) and [Alibaba's Chairman Joe Tsai](#). We think the underlying logic is similar: global GDP is already above US\$110trn; labour income, or services value added, accounts for roughly 50-60% of GDP; and if AI augments or automates around 20% of the human-labour and cognitive-work base, the addressable opportunity could surpass US\$10trn.

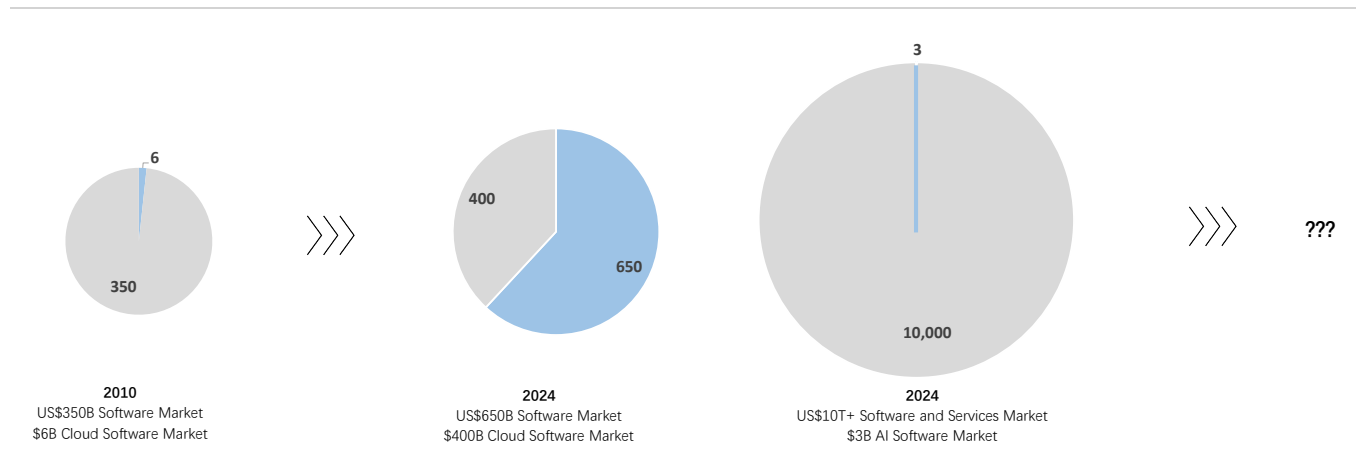
**Beyond the US and China, we believe the monetisation potential in the rest of world (RoW) should not be overlooked.** Admittedly, AI adoption rates across countries and regions are likely to be disproportionate, and the US and China may see higher AI adoption, given their concentration of frontier AI labs and ecosystem resources. Even if we assume a higher AI penetration rate of 30% for the US and only 15% for the RoW reflecting the more limited access to frontier models and AI infrastructure, our calculation suggests the RoW's potential market size could still reach US\$4.7trn, comparable to the US market at US\$4.9trn. That said, we recognise these markets are more fragmented, and AI adoption in some countries may be constrained by IT infrastructure development.

**Figure 30: Top-down framework suggests potentially a US\$10trn-plus addressable opportunity for AI**

| Region | GDP (US\$tn) | Labour income share (% of GDP) | Labour-driven GDP base (US\$tn) | % of augmentation / automation | AI-addressable opportunity (US\$tn) |
|--------|--------------|--------------------------------|---------------------------------|--------------------------------|-------------------------------------|
| US     | 28.8         | 56.8%                          | 16.3                            | 30%                            | 4.9                                 |
| China  | 18.7         | 56.1%                          | 10.5                            | 20%                            | 2.1                                 |
| RoW    | 63.5         | 49.6%                          | 31.5                            | 15%                            | 4.7                                 |
| World  | 111.0        | 52.6%                          | 58.4                            | 20%                            | 11.7                                |

Source: World Bank, International Labour Organization, FRED, UBS estimates. Note: GDP is 2024 nominal GDP in US dollars.

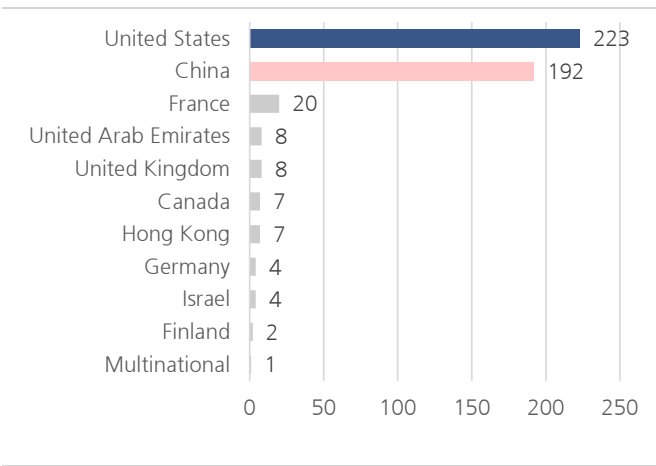
**Figure 31: AI software's expanding TAM**



Source: Sequoia Capital

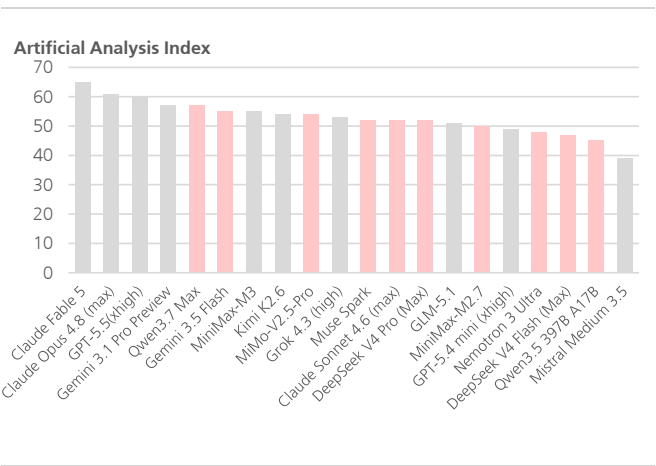
**We also note that global AI model supply is increasingly dominated by the US and China.** In terms of quantity, from 2019 to 2025, the US and China trained 223 and 192 cumulative large-scale AI systems, respectively, far ahead of other regions and nearly 10x more than France, the third-largest country. In terms of model capability, only one of the top 20 models in the Artificial Analysis Intelligence Index comes from France (namely Mistral), while the rest are from US or Chinese companies. In our view, **this suggests Chinese model companies have significant potential for global expansion**, even when focusing solely on markets outside the US.

Figure 32: Cumulative number of large-scale AI systems by region, 2019-25



Source: Epoch AI. Note: Data refers to the location of the primary organisation affiliated with the system authors.

Figure 33: Top 20 AI models by overall intelligence



Source: Artificial Analysis. Data as of 15 June 2026.

## Framing potential upside in China AI's global share

To gauge the future market structure and potential upside in the global market share for China's AI model companies, we use other 'China-going-global' industries as analogies under three scenarios:

**In a cost-led scenario, we believe China's model companies could gain meaningful global share, underpinned by their structural cost advantages.** If China's models eventually converge with global leaders in capability and model usage becomes largely commoditised (i.e., users see limited difference when calling different models), we believe the closest analogy could be solar photovoltaic (PV). The solar PV market is largely driven by scale, cost and supply-chain competition, where China has built a dominant global position, with an 80%-plus global share and up to about 95% share in some key supply-chain stages. Under this scenario, China's model companies could leverage structural inference-cost advantages to capture a large share of global token demand.

**In a cost-performance scenario, China's model companies should have room to gain share outside the most premium or frontier use cases.** China's models may still lag global leaders in absolute intelligence but maintain a clear pricing advantage. We believe this could be comparable to EVs, smartphones and home appliances, where China's companies have gained about 30-50% share in select global categories and markets by offering "good enough and lower-cost" products, supported by product iteration, scale, channel expansion and improving brand recognition. Under this scenario, we expect China's model companies to gain meaningful share in mid-range and price-sensitive AI workloads, especially in high-volume use cases where frontier-model performance is not essential.

**In a performance- or ecosystem-led scenario, China's global share upside may be capped if the intelligence gap remains meaningful.** If US frontier models maintain a clear capability lead and AI becomes embedded into enterprise workflows (via AI agents), competition may shift from standalone model pricing to ecosystem build-out. We observe that global AI leaders are proactively moving in this direction: Anthropic is expanding from Claude Code into broader workflow products such as Claude Cowork, Skills, MCP and enterprise plugins, while OpenAI is building Codex into a developer and enterprise agent platform through Apps SDK, MCP integrations and Codex plugins, according to the company. In this scenario, the user data and workflow accumulations may become potential barriers to share shift, even if China's models offer lower prices. We think the analogy could be closer to cloud or operating system, where the global share of China's companies remains in the low single digits to below 10%. Under this scenario, China's model companies may still expand in select price-sensitive, open-source or sovereign-AI markets, but their overall global revenue share may remain relatively low. That said, China's AI labs are also actively building their own ecosystems, with examples including Moonshot AI's Kimi Work integrating multiple productivity applications, and Tencent opening WeChat's AI ecosystem capabilities to developers.

**Figure 34: China's AI global share potential under three industry-analogy scenarios**

| Scenario                    | Analogy                           | Reference share                                      | Key characteristics                                                                                                                                                            | AI market implication                                                                                                                                                              |
|-----------------------------|-----------------------------------|------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Cost-led                    | Solar PV                          | <b>80%+</b> ; up to c.95% in key supply-chain stages | Scale, cost and supply-chain efficiency dominate; product becomes largely commoditized and performance differences are limited.                                                | If model capability converges and usage commoditizes, Chinese model companies could gain very large global token share, underpinned by structural inference-cost advantages.       |
| Cost-performance            | EVs, smartphones, home appliances | <b>c.30-50%+</b> in selected categories / markets    | Cost matters, but users also care about product quality, features, reliability, channels and brand. "Good enough + cheaper" can win meaningful share outside premium segments. | China models could gain meaningful share in mid-range and cost-sensitive workloads, especially in high-volume use cases where frontier-model performance is not strictly required. |
| Performance / ecosystem-led | Cloud, OS, enterprise software    | <b>Low single digit to &lt;10%</b> globally          | Capability, ecosystem breadth, developer tools, enterprise integration, security / compliance and switching costs dominate over standalone price.                              | China share upside may be contained if AI agents become embedded into enterprise workflows and competition shifts from model pricing to ecosystem control.                         |

Source: IEA, IDC, Counterpoint, Canalys, Synergy Research Group, UBS

## A potentially tiered global AI model market ahead

We see the cost-performance scenario as the more likely base case, as the global model market is likely to become increasingly tiered, considering:

- **B2B and B2C use cases have different capability requirements.** In B2B scenarios, especially AI agents (e.g., AI coding), models need to handle more complex workflows, tool use, long-context reasoning and error recovery. As these use cases are directly linked to productivity improvement, we believe enterprise users should be more willing to pay for stronger model capability. In contrast, many B2C chatbot use cases are less complex, with users mainly requiring simple Q&A and conversational interaction, making them less sensitive to incremental frontier-model improvements, in our view.
- **Agentic workloads are likely to be tiered by task complexity.** Even within AI agents, higher-end models may still be required for more difficult tasks (such as project-level planning, architecture design and complex debugging), where reasoning depth, planning capability and tool-use reliability matter more. However, repetitive execution tasks (including routine code generation, document processing, customer support and standardised enterprise operations) could be served by lower-cost models once workflows become sufficiently structured, in our view.
- **Compute constraints could make frontier capacity a strategic scarce resource.** We believe this could further reinforce model tiering, as frontier AI capability is not only driven by model algorithms, but also by a system-level engineering stack across high-end GPUs and HBM, interconnect, data-centre power availability and serving efficiency. With agent adoption driving much higher inference intensity, customers may allocate premium models only to high-value tasks where the incremental productivity gain justifies the cost, while routing simpler and high-volume workloads to cheaper models running on lower-cost hardware. In our view, this supports a multi-model market structure, with frontier models priced as scarce intelligence capacity and cost-performance models serving broader demand.
- **High-end intelligence may not be suitable for unrestricted use.** As models become more capable in areas such as cybersecurity, autonomous tool use and scientific reasoning, leading AI labs may need to apply stronger access controls and safety restrictions. For example, Anthropic's Claude Mythos Preview was reportedly limited to select trusted organisations, as the model demonstrated advanced cybersecurity capabilities (e.g., identifying vulnerabilities in major operating systems and browsers), raising potential misuse risks if widely released. This suggests the most powerful models may not be universally available or optimal for every user, further supporting a tiered market where frontier models serve high-value, high-trust scenarios, while cost-performance models support broader commercial adoption.
- **Emerging AI gateways and model-routing platforms enable more efficient model usage allocation.** We also see the rise of model-routing platforms and AI gateway services, such as OpenRouter, Not Diamond and similar services launched by Tencent Cloud. These platforms can automatically match each query and task with the most suitable model based on quality, cost, latency and reliability requirements, which could support more tiered model offerings, in our view.

## Shift from tokenmaxxing to ROI focus could benefit China's models

We observe enterprise AI adoption shifting from tokenmaxxing towards ROI-driven token allocation. In 2026, with the rise of AI coding agents such as Claude Code and Codex, some enterprises may have used token usage dashboards or internal leaderboards to encourage employee adoption. However, we have recently seen rising market attention on token economics, as enterprises and model vendors increasingly focus on whether incremental token consumption translates into measurable productivity gains.

1. **Enterprises are reassessing token usage incentives.** [Amazon reportedly](#) shut down its internal KiroRank AI-token leaderboard after it encouraged employees to inflate usage without necessarily solving business problems, while Meta's employee-made "Claudeconomics" leaderboard was also [reportedly](#) taken down.

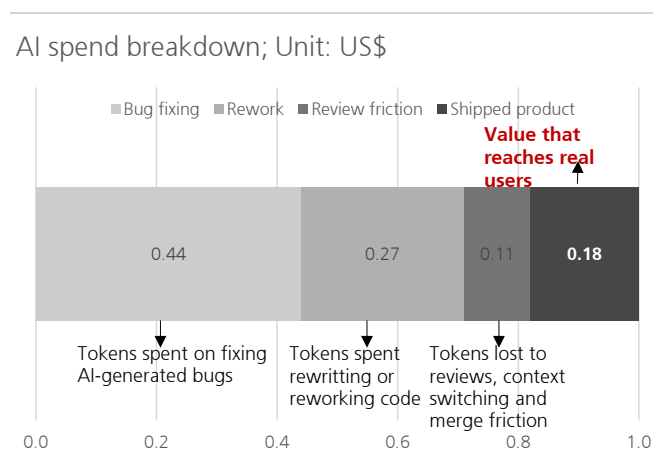
Meanwhile, some enterprises have started to reassess AI tool subscriptions and usage policies amid rising token bills.

2. **Enterprise survey suggests low output conversion.** Entelligence's May survey of 2,444 enterprises suggests only 18% of enterprise AI coding spending is converted into production output, with the remaining 82% absorbed by bug fixes, code rewrites and review delays.
3. **Token Expenditure Price Index has turned soft recently.** SiliconData's LLM Token Expenditure Index, an expenditure / usage-weighted average token price index, could be viewed as a proxy for the market's marginal willingness to pay for AI usage. The index rose sharply before May, likely driven by continued model upgrades, rising AI agent usage and a favourable supply-demand backdrop, but has weakened recently, potentially reflecting a shift from high-end closed-source models towards more economical model choices.

**Against this backdrop, we see China's model vendors as key beneficiaries of a more ROI-focused token consumption trend.** As enterprise buyers become more disciplined on token spending, cost efficiency should become a more important purchasing factor, especially for high-volume workloads where frontier-model performance is not essential. In our view, China's models are well positioned for this shift, given their structurally lower inference costs, supported by model-architecture innovation, continued engineering-efficiency improvements and resource / hardware optimisation. This, along with the further narrowing model capability gap, should support China models' global share-gain potential, in our view.

**That said, we also acknowledge that geopolitical uncertainty may contain the pace of overseas expansion,** especially in more sensitive enterprise and government use cases. However, we believe this could be partly offset by the well-diversified overseas market opportunity. Apart from the US, other regions (such as Europe, Asia and the Middle East) still lack strong local foundation-model presence, which should leave meaningful room for China's model companies to compete.

**Figure 35: Breakdown of every US\$1 spent on AI tokens**



Source: Entelligence AI, UBS; Note: Data as of May 2026.

**Figure 36: Summary of tokenmaxxing behaviour of US companies**

| Company   | Tokenmaxxing behaviour                                                                                                                    | Corporate response                                                                                                     |
|-----------|-------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|
| Uber      | Used its full-year AI-coding budget in c.4 months                                                                                         | Set a hard cap of US\$ 1500/month per employee per agentic-coding tool with an over-cap approval route.                |
| Amazon    | Launched "KiroRank", a leaderboard ranking employees by token consumption                                                                 | Shut down the leaderboard.                                                                                             |
| Microsoft | Opened Claude Code access to its Experiences & Devices division in Dec-25; Heavy usage displaced its own Copilot CLI and exceeded budget. | Cancelled most internal Claude Code licences within E+D, with engineers told to migrate to Github Copilot by 30-Jun-26 |
| Meta      | Employees built internal leaderboard "Claudeconomics", showing that 85000+ staff used c.60 trillion tokens in 30 days.                    | -                                                                                                                      |

Source: Company data

**Figure 37: LLM Token Expenditure Index**

LLM Token Expenditure Index; Unit: US\$/M tokens



Source: SiliconData; Note: Data as of 9 June, 2026. Normalized blended rate drawn from observations across frontier API providers, open-weight inference platforms, brokered dedicated-instance markets and self-hosted reference deployments.

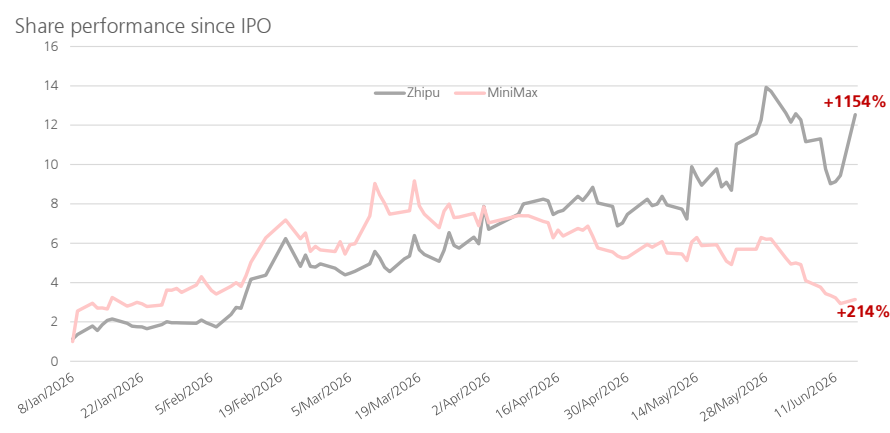
## WHAT'S PRICED IN?

**China's AI foundation model companies have delivered strong share performances since their listings** in January, despite some recent moderation. For instance, MiniMax have risen 214% as of 15 June 2026. We think this was mainly driven by rising revenue growth expectations (e.g., MiniMax's management set internal targets of US\$1bn ARR by end-2026, compared to ~US\$150m in Feb 2026), as investors see rising token demand amid the rapid scaling of AI agent products across OpenClaw and AI coding agents. Meanwhile, continued model iteration and capital-market updates (e.g., HSCI and HSTECH inclusion; proposed A-share listings) are additional boosts to share performance, in our view.

While investor attention on AI foundation model companies remains high, we think investors also recognise that **China model stocks' current valuations are at elevated levels versus global peers** (e.g., OpenAI and Anthropic are valued at below 30x P/ARR in the private market). Investors are likely to continue monitoring potential catalysts over the next few months, including model upgrades, IPO lock-up expiry, Stock Connect inclusion, progress on A-share listings as well as global AI leaders' listing in US market.

**That said, we believe the market still underestimates China model companies' cost-performance advantages and their long-term upside potential from global share gains.** We expect global investors to increasingly recognise China AI models' cost-efficiency advantage, especially as the market shifts from pursuing token-usage quantity (i.e., "tokenmaxxing") towards token-usage quality, with more emphasis on ROI. Meanwhile, as the capability gap with US models continues to narrow and China's models maintain structural inference-pricing advantages, we believe they could accelerate global AI penetration and support China AI models' global share gains. Despite the premium valuations, we anticipate significant, long-term growth upside ahead for China's leading model companies, which may help digest China AI model companies' (e.g., MiniMax) valuation multiples as revenue scaling crystallises.

**Figure 38: Share price performance of Zhipu and MiniMax since their listings**



Source: Wind, UBS. Note: Prices indexed to the listing price (listing price = 1). Data as of 15 June 2026.

**Figure 39: Index & Southbound inclusion schedule**

| Date   | MiniMax                                                   | Zhipu                                   |
|--------|-----------------------------------------------------------|-----------------------------------------|
| May-26 | Hang Seng Composite review results announcements (May 22) |                                         |
| Jun-26 |                                                           | Southbound inclusion (1st week of June) |
|        | Hang Seng Composite/HSTECH inclusion effective (June 8)   |                                         |
| Jul-26 |                                                           |                                         |
| Aug-26 | Potential Southbound inclusion (1st week of Aug)          |                                         |

Source: Company data, Hang Seng Index website, UBS

**Figure 40: Share Lock-up Expiry Schedule**

| MiniMax – Share Lock-up Expiry Schedule |                          |                 |                         |                             |
|-----------------------------------------|--------------------------|-----------------|-------------------------|-----------------------------|
|                                         | Number of shares (mn)    |                 |                         |                             |
| Unlock Date                             | Free Float Before Unlock | Shares Unlocked | Free Float After Unlock | Unlock as % of total shares |
| 09/Jul/2026                             | 17.1                     | 145.7           | 162.7                   | 46.4%                       |
| 09/Oct/2026                             | 162.7                    | 39.0            | 201.8                   | 12.4%                       |
| 09/Jan/2027                             | 201.8                    | 25.8            | 227.5                   | 8.2%                        |
| 09/Jan/2028                             | 227.5                    | 5.0             | 232.5                   | 1.6%                        |

| Zhipu – Share Lock-up Expiry Schedule |                          |                 |                         |                             |
|---------------------------------------|--------------------------|-----------------|-------------------------|-----------------------------|
|                                       | Number of shares (mn)    |                 |                         |                             |
| Unlock Date                           | Free Float Before Unlock | Shares Unlocked | Free Float After Unlock | Unlock as % of total shares |
| 08/Jul/2026                           | 17.4                     | 25.7            | 43.0                    | 5.8%                        |
| 08/Jan/2027                           | 43.0                     | 178.3           | 221.3                   | 40.0%                       |

Source: Company data, Wind

**Figure 41: Comparable valuations**

| Ticker                            | Company name   | Current Price (LC) | Mkt Cap (USD, m) | P/S (x) |       | Rev. CAGR | PS/G  |       | EV/EBITDA (x) |       | EBITDA CAGR | P/E (x) |       | EPS CAGR | PEG   |       |
|-----------------------------------|----------------|--------------------|------------------|---------|-------|-----------|-------|-------|---------------|-------|-------------|---------|-------|----------|-------|-------|
|                                   |                |                    |                  | 2026E   | 2027E |           | 2026E | 2027E | 2026E         | 2027E |             | 2026E   | 2027E |          | 2026E | 2027E |
| AI foundation model companies     |                |                    |                  |         |       |           |       |       |               |       |             |         |       |          |       |       |
| 0100.HK                           | MiniMax        | 423.80             | 16,965           | 56      | 23    | 220%      | 0.3   | 0.1   | n.a.          | n.a.  |             | n.a.    | n.a.  | n.a.     | n.a.  | n.a.  |
| 2513.HK                           | Zhipu Huazhang | 1457.00            | 82,910           | 176     | 65    | 231%      | 0.8   | 0.3   | n.a.          | n.a.  | n.a.        | n.a.    | n.a.  | n.a.     | n.a.  | n.a.  |
| Average                           |                |                    |                  | 116     | 44    | 226%      | 0.5   | 0.2   |               |       |             |         |       |          |       |       |
| Domestic AI chips                 |                |                    |                  |         |       |           |       |       |               |       |             |         |       |          |       |       |
| 688795.SS                         | Moore Threads  | 628.10             | 43,656           | 100     | 58    | 94%       | 1.1   | 0.6   | n.a.          | n.a.  | n.a.        | >100    | >100  | n.a.     | n.a.  | n.a.  |
| 688256.SS                         | Cambricon      | 1335.00            | 124,031          | 43      | 22    | 137%      | 0.3   | 0.2   | 122.4         | 68.7  | 132%        | 138.9   | 84.2  | 117%     | 1.2   | 0.7   |
| 688902.SH                         | MetaX          | 720.90             | 42,651           | 78      | 41    | 107%      | 0.7   | 0.4   | n.a.          | >100  | n.a.        | n.a.    | >100  | n.a.     | n.a.  | n.a.  |
| 6082.HK                           | Shanghai Biren | 55.30              | 17,214           | 49      | 13    | 126%      | 0.4   | 0.1   | n.a.          | >100  | n.a.        | n.a.    | >100  | n.a.     | n.a.  | n.a.  |
| Average                           |                |                    |                  | 67      | 34    | 116%      | 0.6   | 0.3   | >100          | >100  | 132%        | >100    | >100  | 117%     | n.a.  | n.a.  |
| Global companies with AI exposure |                |                    |                  |         |       |           |       |       |               |       |             |         |       |          |       |       |
| PLTR.OQ                           | Palantir       | 134.71             | 322,942          | 42      | 29    | 61%       | 0.7   | 0.5   | 70.4          | 47.3  | 76%         | 92.0    | 64.9  | 69%      | 1.3   | 0.9   |

Source: Company data, Refinitiv . Note: Consensus estimates are based on Refinitiv. Data as of 15 June 2026.

**Figure 42: Latest private market valuations for leading AI labs**

| AI Lab             | Latest Valuation                          | Valuation Date |
|--------------------|-------------------------------------------|----------------|
| <b>China</b>       |                                           |                |
| DeepSeek           | ~US\$50bn<br>(in progress)                | Jun-26         |
| Moonshot AI (Kimi) | >US\$20bn<br>(new round target: US\$30bn) | May-26         |
| StepFun            | US\$5–6bn                                 | May-26         |
| <b>Global</b>      |                                           |                |
| Anthropic          | US\$965bn<br>(Pre-money: US\$900bn)       | May-26         |
| OpenAI             | US\$852bn<br>(Pre-money: US\$730bn)       | Mar-26         |

Source: Company data, PitchBook

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## Valuation Method and Risk Statement

We believe key sector risks include: 1) an evolving competitive landscape and intensifying competition; 2) fast-moving trends in technology, as well as internet users' needs and preferences; 3) uncertain monetisation; 4) the rising cost of traffic acquisition, content and brand promotions; 5) the upkeep of IT systems; 6) expansion into international markets; 7) adverse changes in market sentiment; and 8) regulatory risks.

Tencent: Our price target is based on sum of the parts (SOTP). We believe the key risks for Tencent include: 1) an evolving and intensifying competitive landscape; 2) new business execution; 3) integration of invested companies and businesses; 4) rising costs of traffic acquisition, content and brand promotions; 5) IT system upkeep; 6) expansion into international markets; 7) infringement of intellectual property rights; 8) departures of key management; and 9) regulatory risks.

Alibaba: Our price target is based on SOTP. We believe the key risks for Alibaba are: 1) regulatory changes, particularly for data usage and online content; 2) Chinese and global macroeconomic headwinds; 3) competitive pressure from traditional offline retailers; 4) interruptions of information technology and systems; 5) short-term profitability pressure from long-term investment; 6) execution and management complexity resulting from its multiple platforms; 7) corporate governance – significant voting control by the Alibaba Partnership; and 8) the loss of the services of founder Jack Ma.

MiniMax: We adopt Price/ARR as our valuation methodology for MiniMax. Key downside risks include: macro and geopolitical uncertainties that may constrain AI adoption; competitive and operational challenges delaying monetisation and pressuring margins; data-related model training risks; user-generated content governing risks; and disruption of key service providers.

Key upside risks include: easing geopolitical tensions and export restrictions that may improve access to advanced hardware and accelerate model upgrades; technological breakthroughs in AI training and infrastructure efficiency that could enhance model capability and margins; and faster user adoption and commercialisation driving stronger monetisation and profitability.

Baidu: We derive our price target for Baidu using a sum-of-the-parts valuation methodology. We believe the key risks for Baidu include: 1) an evolving and intensifying competitive landscape; 2) execution of new businesses; 3) integration of invested companies and businesses; 4) rising cost of traffic acquisitions, content and brand promotions; 5) maintaining and upgrading IT systems; 6) infringement of intellectual property rights; 7) expansion into international markets; 8) key management departures; and 9) regulatory risks.

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|-----------------|---------------------------------------|-----------------------|--------------------------|
| Buy             | FSR is > 6% above the MRA.            | 54%                   | 24%                      |
| Neutral         | FSR is between -6% and 6% of the MRA. | 40%                   | 21%                      |
| Sell            | FSR is > 6% below the MRA.            | 6%                    | 21%                      |

Source: UBS. Rating allocations are as of 31 March 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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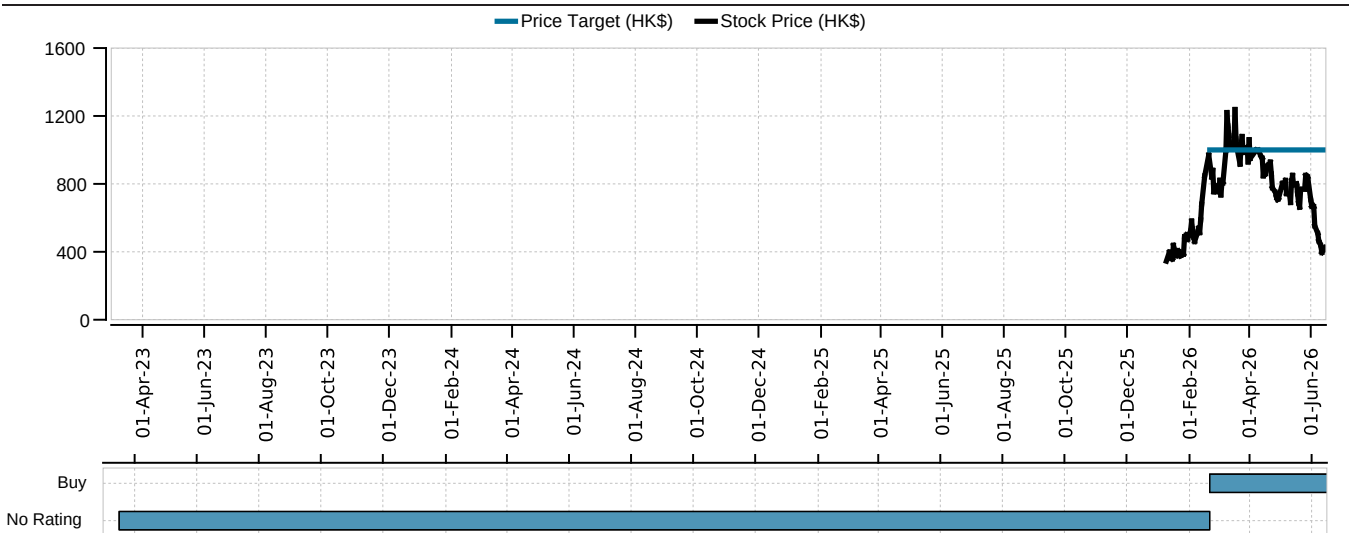
| Company Name                                             | Reuters | 12-month rating | Price      | Price date  |
|----------------------------------------------------------|---------|-----------------|------------|-------------|
| <b>Alibaba Group</b> <sup>2,3,4,28,7,6a,6b,16a,16b</sup> | BABA.N  | Buy             | US\$112.55 | 15 Jun 2026 |
| <b>Baidu, Inc.</b> <sup>4,28,7,6b,16a,16b</sup>          | BIDU.O  | Buy             | US\$116.75 | 15 Jun 2026 |
| <b>MiniMax Group</b> <sup>2,4,5,6b</sup>                 | 0100.HK | Buy             | HK\$416.60 | 16 Jun 2026 |
| <b>Tencent Holdings</b> <sup>28,16a</sup>                | 0700.HK | Buy             | HK\$447.40 | 16 Jun 2026 |

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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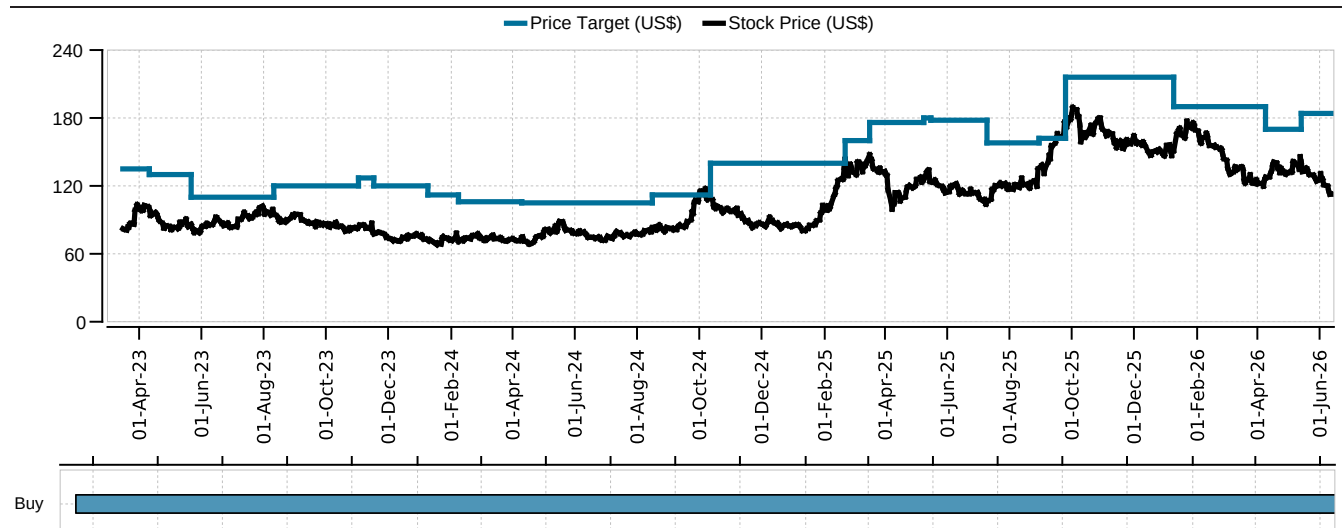
**MiniMax Group (HK\$)**



| Date       | Stock Price (HK\$) | Price Target (HK\$) | Rating    |
|------------|--------------------|---------------------|-----------|
| 2023-03-16 | NaN                | -                   | No Rating |
| 2026-02-20 | 970.00             | 1000.00             | Buy       |

Source: UBS Global Research; LSEG Eikon as of 16-Jun-2026. All prices as of local market close. Ratings as of date shown.

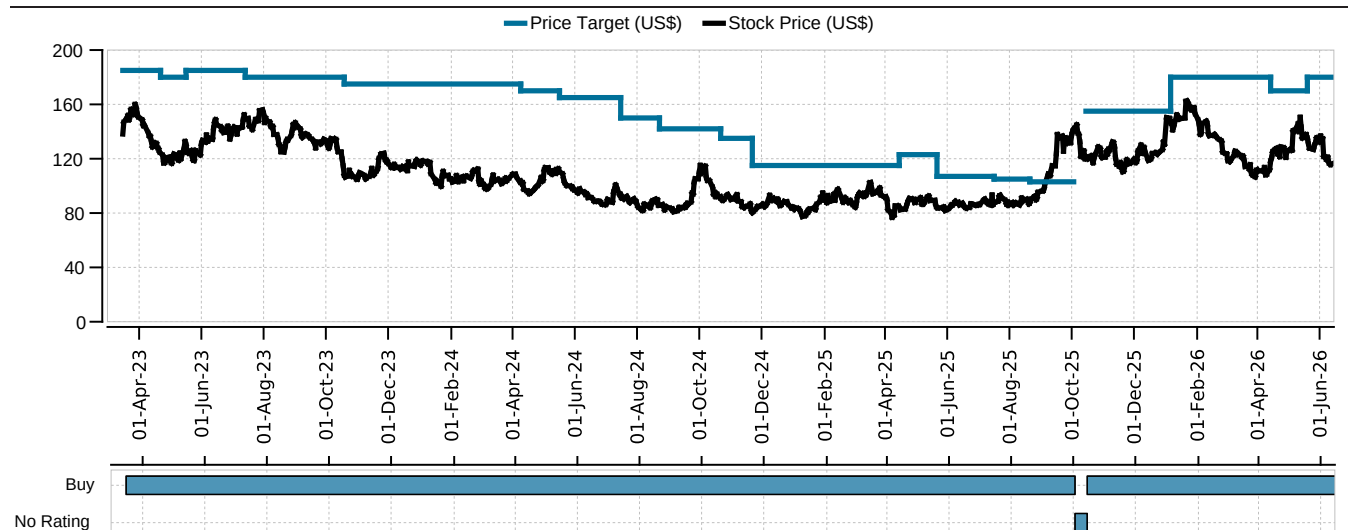
## Alibaba Group (US\$)



| Date       | Stock Price (US\$) | Price Target (US\$) | Rating |
|------------|--------------------|---------------------|--------|
| 2023-03-15 | 81.51              | 135.00              | Buy    |
| 2023-04-10 | 101.54             | 130.00              | Buy    |
| 2023-05-21 | 83.98              | 110.00              | Buy    |
| 2023-08-10 | 99.21              | 120.00              | Buy    |
| 2023-11-01 | 82.48              | 127.00              | Buy    |
| 2023-11-16 | 79.11              | 120.00              | Buy    |
| 2024-01-08 | 72.88              | 112.00              | Buy    |
| 2024-02-07 | 73.64              | 106.00              | Buy    |
| 2024-04-09 | 72.99              | 105.00              | Buy    |
| 2024-08-15 | 79.54              | 112.00              | Buy    |
| 2024-10-11 | 110.14             | 140.00              | Buy    |
| 2025-02-20 | 135.97             | 160.00              | Buy    |
| 2025-03-16 | 141.10             | 176.00              | Buy    |
| 2025-05-08 | 125.79             | 180.00              | Buy    |
| 2025-05-15 | 123.90             | 178.00              | Buy    |
| 2025-07-09 | 103.83             | 158.00              | Buy    |
| 2025-08-29 | 135.00             | 162.00              | Buy    |
| 2025-09-24 | 176.44             | 216.00              | Buy    |
| 2026-01-08 | 154.47             | 190.00              | Buy    |
| 2026-04-08 | 125.32             | 170.00              | Buy    |
| 2026-05-13 | 145.81             | 184.00              | Buy    |

Source: UBS Global Research; LSEG Eikon as of 15-Jun-2026. All prices as of local market close. Ratings as of date shown.

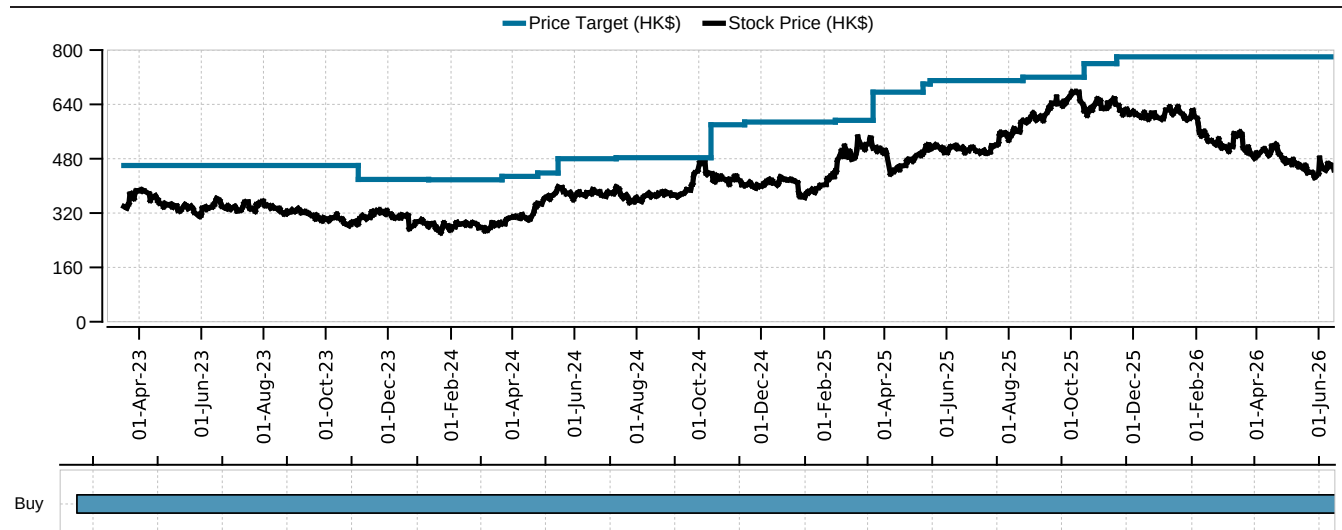
## Baidu, Inc. (US\$)



| Date       | Stock Price (US\$) | Price Target (US\$) | Rating    |
|------------|--------------------|---------------------|-----------|
| 2023-03-15 | 133.10             | 185.00              | Buy       |
| 2023-04-21 | 124.96             | 180.00              | Buy       |
| 2023-05-16 | 132.68             | 185.00              | Buy       |
| 2023-07-13 | 152.31             | 180.00              | Buy       |
| 2023-10-18 | 114.71             | 175.00              | Buy       |
| 2024-04-08 | 103.05             | 170.00              | Buy       |
| 2024-05-16 | 112.59             | 165.00              | Buy       |
| 2024-07-15 | 93.15              | 150.00              | Buy       |
| 2024-08-22 | 85.79              | 142.00              | Buy       |
| 2024-10-21 | 91.62              | 135.00              | Buy       |
| 2024-11-21 | 81.63              | 115.00              | Buy       |
| 2025-04-14 | 85.24              | 123.00              | Buy       |
| 2025-05-21 | 85.48              | 107.00              | Buy       |
| 2025-07-16 | 86.32              | 105.00              | Buy       |
| 2025-08-20 | 86.76              | 103.00              | Buy       |
| 2025-10-02 | 140.23             | -                   | No Rating |
| 2025-10-14 | 119.94             | 155.00              | Buy       |
| 2026-01-05 | 149.68             | 180.00              | Buy       |
| 2026-04-13 | 112.01             | 170.00              | Buy       |
| 2026-05-19 | 137.68             | 180.00              | Buy       |

Source: UBS Global Research; LSEG Eikon as of 15-Jun-2026. All prices as of local market close. Ratings as of date shown.

## Tencent Holdings (HK\$)



| Date       | Stock Price (HK\$) | Price Target (HK\$) | Rating |
|------------|--------------------|---------------------|--------|
| 2023-03-16 | 336.00             | 460.00              | Buy    |
| 2023-11-01 | 287.00             | 419.00              | Buy    |
| 2024-01-09 | 283.60             | 418.00              | Buy    |
| 2024-03-21 | 291.20             | 428.00              | Buy    |
| 2024-04-25 | 339.40             | 438.00              | Buy    |
| 2024-05-15 | 381.80             | 480.00              | Buy    |
| 2024-07-11 | 384.80             | 483.00              | Buy    |
| 2024-10-12 | 438.80             | 580.00              | Buy    |
| 2024-11-14 | 403.40             | 588.00              | Buy    |
| 2025-02-11 | 427.40             | 593.00              | Buy    |
| 2025-03-20 | 519.50             | 676.00              | Buy    |
| 2025-05-08 | 498.00             | 700.00              | Buy    |
| 2025-05-15 | 520.00             | 710.00              | Buy    |
| 2025-08-14 | 590.00             | 720.00              | Buy    |
| 2025-10-13 | 639.00             | 760.00              | Buy    |
| 2025-11-14 | 641.00             | 780.00              | Buy    |

Source: UBS Global Research; LSEG Eikon as of 16-Jun-2026. All prices as of local market close. Ratings as of date shown.

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